

Capital One Stringout

Nigel Morris: [00:00:00] Yeah

William Salvi: We're ready to rock

Nigel Morris: Rock and roll

William Salvi: I saw that you went on Squakbox recently.

Nigel Morris: Uh, yeah

William Salvi: How was that?

Nigel Morris: I don't know. I'm, you know, it's really interesting. I, I, I, um- It's, it's a very strange environment. Have you, have you done these things?

William Salvi: No, I would like to.

Nigel Morris: Yeah, it's a very strange environment, and I, I get the, I get, I do get the, the, uh, collywobbles beforehand.

Get a little nervous about it because you- It's quite the production ... um, you're, you're o- you're off to the side, and then you're sort of shuffled into this really alien environment where you've got the cameras right in your face. Um, and the, you sort of have a sense of what they're going to ask, but you never know, particularly in the, the, uh, in the, in the UK where you don't...

where there, the, there'll be all kind of wild card questions you'll get. And you have to, because you're only on for, you know, four or five minutes, you can't sort of go, "Oh, that's a really interesting question. Let me think about that." Right. You've got [00:01:00] to kind of i- lean in with energy and respond.

William Salvi: And you can't really give full context either.

You gotta get- There's

Nigel Morris: one line ... an

William Salvi: answer and then they move

Nigel Morris: on And if, and if you start rambling, they start interrupting.

William Salvi: Right. '

Nigel Morris: Cause there's two or three of them, and they're like, "What do you mean?" You know, and they'll kind of... So it's a very strange environment. There, it's... See, normal discourse has a certain pattern and, uh, cadence about it, but this is a very alien one.

Right. It's like a deposition.

William Salvi: Right.

Nigel Morris: Have you ever done that? Have you ever been deposed? I've

William Salvi: never been deposed. No, that's not- But my dad and my brothers are lawyers.

Nigel Morris: Are they? Okay, so they, they-

William Salvi: They're trial lawyers, so they do- They

Nigel Morris: inflict it on people.

William Salvi: Yes.

Nigel Morris: Yeah.

William Salvi: So- So I, I was through psychological warfare when I was a kid.

Yes. Yeah.

Nigel Morris: That, that'd be really... So th- this explains a lot.

William Salvi: Yeah.

Nigel Morris: Explains a lot.

William Salvi: Yeah, right.

Nigel Morris: Um, yeah, so the, the, that's another alien environment of communication-

William Salvi: Yeah ...

Nigel Morris: that has its own set of rules.

William Salvi: Cool. Ready to rock?

Nigel Morris: Rock and roll.

William Salvi: Here, watch this real quick. I'm gonna, I'm gonna move this. Oh, that there.

Just so it... We won't really see it, but I just wanna make sure. So Nigel Morris.

Nigel Morris: Sir.

William Salvi: Yeah, are you the founder and CEO of, [00:02:00] of, of QED, or are you just the founder of QED Investors?

Nigel Morris: I'm the, you know, I'm the managing partner- Managing partner ... so I'm the CEO, I suppose.

William Salvi: Yeah, yeah.

Nigel Morris: And a co-founder, 'cause I had two people who started it with me, what, 18, 19 years ago.

Okay. Uh, Cara Buchontic and Frank Rotman.

William Salvi: Okay. Yeah. Well, before, before we get into that, before we get into, uh, Capital One, I want to go into your background, talking about, y- you said your dad was in the military.

Nigel Morris: Mm.

William Salvi: And I wanna, I wanna talk about how you grew up in England. You said you moved around a lot, so tell me about growing up and essentially how Nigel Morris became Nigel Morris.

Nigel Morris: Oh, gosh. Uh, I- ... lot, a lot of skeletons in cupboards there, I think. Yeah. So, um, yeah, Dad was a soldier. He left, uh, he didn't finish high school, um, and joined the army at 16. Uh, fought in Korea in '50, '51, '52. Uh, became, I think, the youngest sergeant in Korea. So he was a good soldier. He was a good leader of men.

And then, um, you know, I came [00:03:00] around in '58, and we moved around all over the place. So we, uh... I remember starting school in Germany In Berlin. Uh, we had two sessions in Northern Ireland. We were in Liverpool. We were in Lancaster. Uh, we were in Brentwood, in Essex. So I think I counted 11 different schools over my-

William Salvi: Oh, wow

Nigel Morris: to, from, you know, f- five to 16.

William Salvi: Yeah.

Nigel Morris: So it always seemed like I, um, uh, that, uh, every, every period was always short term, and you didn't ever feel like you could put roots down.

William Salvi: Yeah. And

Nigel Morris: it

William Salvi: har-

Nigel Morris: Was that hard? Yeah, 'cause I think I, I think I felt that, um, I always had the wrong accent. I mean, the UK is full of very, very specific regional accents, so my accent was always wrong, and I always supported the wrong football team.

Still support the wrong football team now. Which is Tottenham Hotspur, which almost got themselves relegated. Uh, West Ham went down, and Tottenham managed to stay up. Yeah, so it was hard, and, and I think that it led me to, um, b- uh, be [00:04:00] forced to be really adaptable and to read situations really well, um, and to be able to, uh, build relationships quickly and then be okay with severing them in a way-

William Salvi: Yeah

because w- it was very- Yeah, to

Nigel Morris: move on ... it was very truncated, yeah.

William Salvi: How was it having a military father? Was he hardcore?

Hold on. Sorry. Real quick.

Producer: Ooh. Just double check the, uh, that it's, when

we moved it- I think

Producer: some- Am I doing something

William Salvi: wrong?

Uh, I think I, I might have moved something when I...

Producer: Just make sure the, the-

William Salvi: Do we need to restart?

Producer: I think it's okay with the question. We just... Yeah, I just wanna go forward. I don't want them-

William Salvi: Okay Is it a, a power problem?

It's just that I think, uh, the cord was a little loose.

William Salvi: Ah,

okay. Got, got free. Just, uh, wanna make sure we're good with this guy.

William Salvi: Great start, Nigel. Phenomenal.

Nigel Morris: Off to, off to the races, I

William Salvi: think.

Off to a hot start. How's that sound?

Nigel Morris: Off to the races, yeah.

William Salvi: We got the boom mic too, so this was- Yeah ... this was gathering, so this was- Is [00:05:00] that better? Cool. Yeah. Okay. All right. All right. I'm going back into it. You, you already heard the question.

Nigel Morris: All right. I got the question. Yeah. Yeah.

William Salvi: Well, but I'm gonna, I'm gonna ask again, so- Uh-huh.

Uh-huh ... yeah, but, but I'm actually... So my dad was an attorney.

Nigel Morris: Uh-huh.

William Salvi: Is an attorney.

Nigel Morris: Uh-huh.

William Salvi: Um, how was it having a military father? You s- 'cause you said he was a soldier.

Nigel Morris: Yeah, yeah. He was.

William Salvi: Yeah.

Nigel Morris: Yeah. And the Army was everything to him, and he got to, um... They let him go when he was 40. Um, and I don't think he ever really recovered from that.

The Army, in many ways, was his family, and he, uh, and it was where he belonged. And I think he was really good at it, being Army and soldier. Um, but I think he was... He was tough. He was austere. He was authoritarian. Uh, for those, uh, for those of your listeners that, uh, the, uh, from the UK, he was a Daily Mail reader.

Um,

William Salvi: he- What... Can you actually describe, like, the- Uh,

Nigel Morris: what a Daily Mail reader is?

William Salvi: Yeah, like, is that more conservative, I assume?

Nigel Morris: Yeah. That's more right wing and more kind of [00:06:00] working class.

William Salvi: Okay.

Nigel Morris: That's what he would read. Um, and, you know, probably... I, I actually don't know this, but my guess is the Daily Mail would be, uh, would be, uh, you know, supporting Nigel Farage, my namesake.

By the way, this is an interesting c- interesting data point for you. Um, the number of Nigels in the UK has dropped precipitously, uh, I think largely as a result of Nigel Farage and his, uh, his rantings in the UK. So no, but Dad was, um, uh, Dad was an authoritarian. He was not cuddly. He was not a "well done, son."

And I think that that always left a hole, you know, uh, in life. And, uh, I had two brothers, and they went through the same thing.

William Salvi: Where were you in the chain?

Nigel Morris: I was, I was the eldest, actually. Eltest. Yeah. Um-

William Salvi: Oh, so he was probably even harder on you then, 'cause you were the number one.

Nigel Morris: Oh, I think so. Yeah. I think I got a lot of the, uh, uh, a lot of the austerity up front.

And I remember b- I remember, uh, turning it, uh, uh, for my own nefarious purposes. I remember being 16 and 17, still at home, [00:07:00] but getting ready to fly the nest, and bringing home, for example, The Guardian, which would have been the sort of intellectual left-wing paper, just to wind him up. And, uh, it became... So, uh, that led to sort of, you know, some friction there at home.

But, um, you know, I think that, uh, you know, what, what I learned from him, and if I go back, uh, Will, was that he always said, "Look, if you're the leader, you're the first one in, and you're the last one out. And don't you ever expect anybody to do something that you won't do yourself." And, uh, the treat- uh, the people who lead men do so not because they're the cleverest, uh, not because

they're the best athletes, but because they, um, you, um, are looking out for them, and that you'll, um, uh, have their interests at heart, and you're not out to self-aggrandize, and you're not out to, um, be something you're not.

So authenticity, I think, was an important word for him.

William Salvi: Did you, uh- Did, were you close with them at all or was it like just kind of like a very [00:08:00] strict father-son relationship?

Nigel Morris: No, it was, it was, it, it was never really close. I, uh, pa- the later years it got closer, ironically, but as a, as a teenager growing up, I think he really wanted me to follow into, into the armed forces.

William Salvi: Right.

Nigel Morris: And I flirted with it, but I think it became clear to me at 16, 17, 18 that, you know, n- going off to Sandhurst and, uh, and doing that was not for me. I think I was too, I don't know, too challenging of authority, and maybe it was because of him actually, ironically. But no, I was never comfortable with, uh, accepting things on face value.

William Salvi: Right.

Nigel Morris: And I've always relished, even now, you know, at this ripe old age, uh, enjoy the process of, um, challenging the incumbent, challenging authority, challenging, uh, you know, the status quo.

William Salvi: Yeah. What, so let's go there then. Where, where did you, when, when you went to university... You like how I did that? I said university

Nigel Morris: instead of college.

It's very good, yeah, yeah. Yeah. It's very culturally appropriate. Yeah. Thank you. I love that. You could call it uni.

William Salvi: Uni. I

Nigel Morris: should have done that. Uni would be even better.

William Salvi: That would have been even [00:09:00] better. Yeah.

Nigel Morris: Yeah. You could call it uni.

William Salvi: But where did, where'd you go? What'd you study?

Nigel Morris: I w- it was in London, and I had started to read a lot of philosophy, ironically.

Um, most people are out there, uh, chasing girls and going to parties, and I was reading philosophy and, um, and I started to really, uh, get into, uh, Freud and Jung and the, the psychol- psychological side of philosophy, if you like. So I was, I, uh, 17, 18, I was really keen on being a clinical psychologist. I sort of said, "Ah, that's what I'll do."

So I went off to do psychology and, um, uh, rejected it after about nine months. I said, "Look, this is all hocus pocus. It's made up by, you know, uh, Austrians in the 1870s who've c- got too close to, uh, drug addiction," uh, like Freud. And I said, "Look, I just, I think this is all made up. It doesn't have an empirical base."

So I really started to, um, revert to, um, what is, what can be proven and to the scientific method and to statistics and applied mathematics, where I knew that [00:10:00] the, the data would lead you to an answer and to be truth-seeking, rather than this sort of airy-fairy ph- um, philos- philosophical approach.

Right.

Nigel Morris: Ironically, now, looking back on it, while I rejected all that stuff and said, "Look, if it can't be measured, it doesn't exist," which was a classic, um, uh, Skinnerian view-

Mm-hmm ...

Nigel Morris: now look back, looking back on it and you really say, gosh, that was so, m- uh, narrow and naive. But for me, I think it was protec- it, it, it was again, uh, the challenging of the status quo and authority.

And, uh, I think it was, uh, I think it was a really interesting time for me. And I became, actually, uh, ironically and much better than I ever thought, I was a half-decent student. So I started to f- find that I had a, a little niche in life.

William Salvi: Okay. And so then walk me through your jobs before- Starting Capital One

Nigel Morris: Yeah.

So I- You

William Salvi: graduated uni

Nigel Morris: Yeah, got to-- got out of uni, and, uh, I deci-- didn't-- d-decided not to go off and do a clinical [00:11:00] PhD. I had places to go and do. I remember going and visiting Edinburgh, which has a rich history of, uh, of, uh, psychology and medicine, and going up there and saying, "I'm just not ready f-to go off and do a clinical PhD," and said, "Look, I'll-- what I'll do is I'll take a year or two off."

So I, I started, uh, using my, uh, um, experimental method and started running focus groups and sta- worked in, in s-some consulting, and then I started finding that I was much more interested in what the question was that was be- that we were supposed to answer, rather than trying to answer the question. Why did they come up with that question?

William Salvi: So were you at this point in any int-- was there any interest in finance or banking- No, no, no ...or anything like that?

Nigel Morris: I mean, I'd grown up grown up in a household where there weren't any books and, uh, where, um, you know, there was no notion of entrepreneurship or economics or finance, not even a, a whit. And, you know, uh, we were living h-hand to mouth most of the time.

So no, I, I, we had n-had no sense of that. But I [00:12:00] started to enjoy the problem-solving of, you know, what, what is the business perspective on this research that I was, uh, doing? Which led me to s-with some, uh, support from professors that I'd had at undergrad to say, "Look, why don't you go, why don't you apply to business school, Nigel?"

And the notion of going to business school was, I mean- You're

William Salvi: not here

Nigel Morris: right now ...I mean, well, not only, I mean, to go to grad school, I, I, not only did I, was I the only person in my family that had gone to got a degree, I didn't know anybody that had ever got a degree. I mean, it was just the whole no- the whole, uh, it was, I was, uh, it was like, um, like, uh, the New World for me.

So, uh, professor said, "Look, don't, you know, don't go off and be an academic. Go off and, you know, try your hand at business. Go to business school." So I applied to London Business School, the best school in the UK, maybe the best school in Europe, and I didn't think I'd get in, and somehow I managed to, uh, get in.

Uh, my academic record was okay, and I remember we did some, we did some group interviews where apparently they seemed to, uh, like what I said, so I got in. [00:13:00] And that was an amazing step up for me because at this point, now I'm, now I'm with people who are older, many of them older than me, way more experienced than me.

They understand what, you know, what finance is, what economics is. They understand operations research. They understand organizational behavior. To me, all of these things were blank slates, tabula rasa. So, uh, and I just thought, "I'm gonna throw myself at this, and I'm gonna be a really good student of it all."

And I did. And I had a blast.

William Salvi: Yeah.

Nigel Morris: I, um, so I did, did well academically. Again, like, no, it did- it w- to me, it was all academic. Um, but I, uh, drank from the fire hose of that. I had the chance to come over and d- and do a semester at Wharton. Um,

William Salvi: and- Did that spark an interest in you wanting to eventually end up here?

Real, real quick. Let

Nigel Morris: me close this door. It's pretty noisy in that- Too noisy. Noisy, noisy family

William Salvi: up there, eh? What are you guys, doing work up there?

Nigel Morris: Yeah. Yeah, you actually can hear p- [00:14:00] people walk around because these fl- these, these floors are so creaky. You might, you might hear people walking around

Uh, are we still messing with that, that? Yeah, it's, it's being funky, but it's okay. Things are good now. Yeah. I'll try not to bang into it Yeah, just, yeah

William Salvi: Little chug of the good stuff. There's whiskey in here. There's not-

Nigel Morris: You should, you should do that. We'll get you some gin and tonics later.

William Salvi: What's your drink of choice?

Nigel Morris: Hm?

William Salvi: What's your drink of choice?

Nigel Morris: Guinness.

William Salvi: Really?

Nigel Morris: Yeah. You don't drink Guinness?

William Salvi: I like Guinness. I have Guinness in my fridge right now. I like Guinness.

Nigel Morris: It's gotta be- It's not my drink of choice, though ... it's got to be the, it's got to be the, the- but the bottles I don't like. It's gotta be the cans.

William Salvi: I have the cans, yeah.

Nigel Morris: And, uh, if you ever g- when you, when and if you go to the UK, London, and, and e- even better Dublin or Cork, the Guinness is just, uh, just-

William Salvi: I've been to, I went to Ireland for my fifth-year wedding anniversary with my wife.

Nigel Morris: Did you? Good for you.

William Salvi: And I, and I thought to myself, "How often do the Irish
[00:15:00] drink Guinness?"

And I was like, "I think it's just maybe a touristy th-" And I was like, "Holy shit, they drink Guinness. Everywhere I look, they're drinking Guinness." Yeah.

Nigel Morris: You know, so some of my American friends that like... I, I was talking to my son about this the other night. Um, he was saying, "Look, I, I, I l- I love Guinness, um, but I, I can't take it as a summer drink 'cause

William Salvi: it's so heavy."

I ca- So I, it's not heav- You know? It's n- that's actually not true. It's not heav- it's not a heavy drink. It's just dark. I know. It's actually quite a light beer from a calo- caloric and, uh, alcohol content- It is true ... perspective.

Nigel Morris: It is true. Look, I

William Salvi: started dr- So you can call bullshit on them when they

Nigel Morris: say it's a heavy drink.

I started drinking Guinness because I, I thought it looked cool.

William Salvi: Yeah.

Nigel Morris: And if I remember the first few pints of it, I'm like, "This, uh, this is a really, uh, must be acquired taste." And then kind of got the- Yeah ... got the taste for it.

William Salvi: I will say it's not the best summer drink, but we can move on from Guinness.

Nigel Morris: Not the best summer drink?

William Salvi: Yeah.

Nigel Morris: No, Pimm's. You're a Pimm's guy, are

William Salvi: you? Yeah. Do you not think it- Well, you know, just like the... I don't know Pimm's. I've heard of Pimm's, but I don't know if I've ever had Pimm's. But, you know, like the carbonation and the, it, that, that just, like, feels nicer on a summer, you know?

Guinness is, it feels like almost milk, you know, 'cause you're- Yeah. [00:16:00] Not, not as thick, but you get

Nigel Morris: it. It's got a, it's got a nice...

William Salvi: Yeah. All right.

Nigel Morris: What was the question?

William Salvi: The question was yeah, can you, you're like, "Can we please move on?" Um- I'll, I'll go to Wharton. Do it like that ... when you went, you went to Wharton, and I wanna know, when you went to Wharton for a semester, did that spark your interest in, "I wanna go to the United States to eventually work there- Yeah

start a business there"?

Nigel Morris: Yeah. Um, yeah, I mean, to me, um, uh, d- doing well at business school and then getting the opportunity to go to Wharton 'cause the top students had the chance to go to the top US schools, and I think Wharton was the top school. Um, I, I think I was start... I, I was raising my high, rai- raising my sights, and I was saying to myself, "Look, um, I wonder how far I can go."

And I think what Wharton did was stretch me in a, in a, in a different way to London Business School. And Wharton was way more competitive, way more sharp-elbowed than LBS. Um-

William Salvi: How do you mean? Just the students were a

Nigel Morris: little more true? Um, students were much more competitive. Yeah. Like, who's going to get a job at Goldman Sachs, and who's gonna work for BCG?

William Salvi: Did you like that?

Nigel Morris: Uh, I would [00:17:00] say I didn't like it, but I- reveled in it. I, I got caught up in it a little bit because it's the herd. Yeah,

William Salvi: you have to almost, yeah.

Nigel Morris: Yeah, and everybody was com- competing with each other. So yeah, I think it was very interesting, and I, I think it was my first taste of, um, the, um, I don't know, the energy that is America and the competitiveness that is America.

And I ki- I, and I found that I liked that, you know? I mean, th- you know, um, I, I say to- often to my friends that were born here, I say, "Look, you, you were born here. You didn't have any choice. I had a choice. I had to come here," and I- uh, and it was a positive, uh, affirmation of I want to spend my years, my lifetime in this country because it is better and because there's so much opportunity.

And I don't think that's changed. I think the U- U- the, the US has changed, of course, a lot in 40 years. But my golly, um, you know, if you, if you really want to get traction, and you really want to build [00:18:00] something, this is the place to do it.

William Salvi: Yeah. We will get into that later. Um, I wanna know the inception of meeting- Okay.

Nigel Morris: You... So you-

William Salvi: Richard ... but you're- Yeah, but-

Nigel Morris: We're still capital one-ing, are we?

William Salvi: Uh, yeah. We're-

Nigel Morris: Okay. So-

William Salvi: Well, we haven't even gotten there yet.

Nigel Morris: No, no, that's right. Yeah. So, um, I'm sorry to be so monologue-y. So, um, um, I get hired by a consulting firm, uh, when I was at, uh, on the exchange at Wharton called Strategic Planning Associates.

And SPA were based in Washington here, um, in the Watergate Building, believe it or not. And I remember turning up there to, as a, you know, as a kid, uh, um, at 24, 25, you know, staring at the Watergate Building and having all the flashbacks of- Yeah ... Nixon,

William Salvi: et cetera. Yeah. Apparently according to our vice president, it wasn't that big of a deal, but yeah.

Nigel Morris: No big deal. Yeah, no big deal. It wouldn't matter now. Yeah. Right. It wouldn't, wouldn't matter. It mattered then-

William Salvi: Yeah ...

Nigel Morris: in a big way.

William Salvi: Yeah.

Nigel Morris: Um-

William Salvi: It's not a big deal that we call everything gate after every, every

Nigel Morris: scandal- It,

William Salvi: it's true that it, it c- ... but, but it's not a big deal. Yeah ...

Nigel Morris: it became like Intel Inside, didn't it?

William Salvi: Sorry, everybody. I'm being sarcastic.

Nigel Morris: Yeah, you're good.

William Salvi: Yeah. Um,

Nigel Morris: but- That's, that's f- and um, so, uh, and SPA's mantra was we're more BCG than BCG, so it was a BCG spinoff. Okay. And [00:19:00] there were very first principles, and I got... I had other consulting firm offers, um, mostly in London, and I said, "You know what? I, I...

The place where I probably will be able to get the most traction is where it's the most academic, where it's down to arithmetic and, uh, and quantitative, uh, skillsets," which I had So I thought that if I went into consulting, then I'd be able to learn about business while I was doing consulting, and it would give me a chance to try to catch up on my peers who knew so much more about business than I did.

Remember, I'd only just studied it academically. So I went to SPA, um, that was in 1985, and, uh, I started consulting. And consulting to me... And I was 25 at the time, 24, 25, and I was on the young end again. But to me, it was brilliant because I got to work on different business problems with people who were really, really good at what they did.

And I did that for four, three, four years, uh, coming out of business school, and it's there where I met Rich Fairbank. And Rich today is [00:20:00] the CEO and chairman of, um, Capital One. And, uh, we st- at this, at this point in time, um, consultants were starting to specialize, Will. So instead of being, I, you know, I had- A

William Salvi: broad consultant.

Nigel Morris: Yeah. I'm, I can deal with any problem in any industry, in any function. Consultants were starting to specialize by vertical. So there'd be, uh, uh, bio, and there'd be operations research. There would be telco. There might be, uh, finance. And Rich Fairbank and I started the banking practice-

Okay ...

Nigel Morris: at SPA. And I joke, but true, I didn't know the difference between a line of credit and a letter of credit.

I did, I used to get my assets and liabilities all mixed up. And, but I got to go to school, and I got to work for Chase and Wells Fargo and Manny Hanny and Chemical and, uh, all these big banks.

William Salvi: What did you, what did you think when you were working for these big banks while... You, you seem like you were very data forward, you want-- you were very curious, but what did you start learning while working with these big banks?

Nigel Morris: Wow, what did I learn? I... Well, first of all, I, um, I [00:21:00] learned that- 'Cause

William Salvi: clearly a, a, an idea came about

Nigel Morris: after- No, no, but what... Uh, yeah. But what, what I learned was how... Uh, I learned about politics in big organizations. I learned about hierarchy. I learned about how, uh, these entities were making decisions by the seat of their pants, and they were making decisions based on position power, not based on empirics and data and analytics and truth.

Um, and I learned, uh, that they were all very, very comfortable To this day, they're very, very comfortable.

William Salvi: Mm-hmm.

Nigel Morris: And I'll say that I, I said it to myself then and I say it now, uh, these incumbents constantly confuse inertia and loyalty.

William Salvi: So you think it's, it's still a bureaucratic way of doing business? But

Nigel Morris: if you- th- not every organization...

Uh, uh, look, we, we see many, we see, like, JP Morgan, uh, which I think has de- developed an amazing culture under Jamie Dimon. Uh, we see Fifth Third, where they're friends of mine that are leading real change. Um, we see Capital One, of [00:22:00] course, now, uh, standing out as the most sophisticated, uh, consumer lender on the planet.

So there are exceptions, but by and large, uh, incumbents get too comfortable, and they r- you know, they live off their annuity economics, and with that, the energy and the verve and the imagination, the testing, and the belief isn't there culturally.

Producer: Right.

Nigel Morris: So yeah, I saw, I saw that. Um, and I, I got to really see how, uh, decisions are made and how they're not made, and, uh, I d- and do that across all of retail and commercial banking.

So it was like, it was amazing opportunity to go, to go to school. Well, um- And, uh, you know, as that started to- we started to bring together two or three thought- uh, big themes that became the, um-

William Salvi: You and Rich ...

Nigel Morris: You, me, and Rich. Yeah. Which, which became the, uh, heuristic that was Capital One. One, uh, came out of, uh, a, a lot of the, uh, experimental methodology that says, "Look, you have a conventional wisdom in a business.

Test it and [00:23:00] see if it's true, and test it to see where it's not true." So set up series of AB tests where you take that idea and you compare it with other ideas. So just because it's, uh, b- it's been passed on from, uh, generations in your bank or your insurance company does not mean it's true. And if it is true, where is it not true?

So understanding that. That was one. Two, was the application of, uh, of unit economics. So, uh, a passionate belief of, uh, mine all the way through Capital One and now into QED is that vertical profitability, the way a CFO would look at a business, is made up of, uh, hundreds or thousands or millions of customers that all have horizontal profitability.

You spend some money to get a customer, and then you have a series of unit econ- uh, annuity economics that are highly predictable on a cohort basis, and then you layer them, and that gives you your P&L.

William Salvi: Are you saying that the established banks were not doing this?

Nigel Morris: Oh, no, they certainly were not doing it, and certainly not doing it [00:24:00] now.

William Salvi: Right.

Nigel Morris: So yes, the, uh, fi-

William Salvi: And that's where you and Rich came in and said, "We are gonna now start something called Capital One."

Nigel Morris: Yeah. And look, so the experimental method, understanding unit economics, uh, very, very carefully, and understanding how annuities work. So, um, we ha- uh, uh, when I was consulting, I was consulting to The Equitable up in, uh, Secaucus in Hoboken.

By the way, that was an interesting experience in the '80s because that, uh, that are- that area does not look then... It doesn't look now like it looked then. Boy, that was, that was very interesting. I remember going into one of the, um, uh, going into one of the restaurants there, uh, an Italian restaurant with, you know, those bl- red and white checkered tablecloths.

And the person who was with me said it, you know, "Nine years ago, so and so came in here and shot somebody in that corner."

William Salvi: Perfect. Yeah.

Nigel Morris: And I'm like, "Oh, yeah, I'd forgotten that I was in America-" Yeah, yeah. "... and things like that happen." But anyway, um, so yeah. So, uh, annuity economics is, is, uh, is, uh, look, uh, any fool can lend money.

The challenge is getting people to pay you back. And you [00:25:00] can statistically p- pr- uh, predict at the customer level what the odds are of that customer not paying you back a priori. And as you get more data, you can measure it more accurately. But that came out of understanding insurance. Insurance and banking are much closer than most people imagine.

Yes, they're, it's regulated differently, but the idea is that you, um, make a decision today that has a series of highly predictable, uh, economics down the road. So you put all that together Experimental method, the unit economics, annuity under- understanding. And you put that together and you say, "Okay, now how do we build a business around that?"

And that's what Capital One started with the information-based strategy. So in the last two years of consulting, Rich and I would go around all of the banks in the US and in the UK and say, "Look, the credit card business can be done differently." And-

William Salvi: Were they doing a blanket interest rate for everyone?

Nigel Morris: Uh, that's a, you know, the, um, you know, if you, if you and I go for car insurance, we'll get different prices, right?

Right. 'Cause w- uh, one of us has a better [00:26:00] tra- re- track record than the other. One of us has a different FICO score than the other. One of us is different age than the other.

William Salvi: Different cars. And

Nigel Morris: one of us is driving a different car, right? Yeah. So, you know, somebody who's got four DUIs and drives around in a red Maserati and 19 is different to somebody who's driving around in a, you know, an SUV- That-

who's 68 ...

William Salvi: that 19-year-old needs to not drive.

Nigel Morris: That, that's- I'm kidding ... that's right. Probably, probably driving illegally, right. So, um, but the notion of risk-based pricing came out of insurance.

William Salvi: Okay.

Nigel Morris: Right? That you could price people to the underlying risk, back to the annuities again, and nobody had done that.

Uh, 1988, '89, it was any color you like, so long as it's black, and it was 19.8% APR and a \$20 fee. So, uh, what we started to do was say, "Look, that means that so many of your customers are subsidizing others, and so many of potential customers can't get access because at 19.8% APR and \$20 fee- They walk away ... you can't make the economics go round."

Right. So if you price to risk, you take out the cross sub- subsidization, [00:27:00] and you can open up new markets, and that was a, I think, a really key part of the information-based strategy that we were proselytizing to the banks. Now, what was really interesting was that the, was that when we would talk to the senior people who were running consumer lending at these big banks, they would either say We're already doing it, and we have a- we're doing these analytics, which was not true, and often is not true today, even 40 years later.

Or it can be done, but you two obviously can't do it because you've never actually done anything. You've never led a business, you've never managed a P&L. You've been, you've been strategy consultants. So, um, it was Richmond, it was Richmond-based Signet Bank who said, "Okay, come and do the study." And we said to them right at the beginning, "Look, we'll tell you what the a- the answer is that we're gonna tell you.

We're gonna tell you that this is what you should do." And they knew that going in. So we spent six months getting more and more specific about how to execute this information-based strategy. And at the end of it, [00:28:00] m- uh, much to our chagrin actually, they said, "Okay, come and do it." Now, this is a real moment of truth because as a strategy consultant, well, you have, you have impunity, and the impunity is that if your client can't deliver on your amazing ideas, it's not because your ideas aren't wonderful.

It's because they can't execute on it. So at this point, you have to stare at this job where you're running around the country, you're getting paid really well to go and actually become an operator, and actually turn your idea into action.

William Salvi: How long would these, uh, projects be?

Nigel Morris: Typically four, six, nine months is, is how long those consulting studies

William Salvi: would be.

Was there a technology wave or something around that time that helped you with this analytics? Yeah,

Nigel Morris: it was, it was really the, uh, the n- the building out of a, a relational databases.

William Salvi: Okay.

Nigel Morris: Okay. So all this data that could be captured at the customer level in the accounting file, the, um, uh, could now be stored and a- and analyzed using tools like, uh, SAS and SPSS that [00:29:00] we'd, uh, we'd used at the consulting firm.

So you could start to leverage the data at the individual level, which would allow you to do risk-based pricing and understand your unit economics. Right. Um, and to the, to the bank, none of them were doing at, at, at, with that level.

William Salvi: Why? Other than them just being a larger established company.

Nigel Morris: It's a really interesting question, and it's a question you often get.

Uh, the of- question you often, uh, ask as a venture capitalist of a company.

That's more

Nigel Morris: of a philosophical question, I guess. Look, if y- here's your idea, here's a great... Why has nobody ever done it before? I, and I think that, uh, g- I, I think I would go back to, um, that candidly the, uh, i- in the banking world, the talent coming into the banks, one, is very, um, spotty, and two, it tends to go to where the economic returns are.

So it would be in trading, and it would be in investment banking. It was not going to consumer lending 'cause, 'cause g- partly 'cause consumer lending was doing really well. The banks were making- They're

William Salvi: saying- ...

Nigel Morris: lots

William Salvi: of money ...

Nigel Morris: why [00:30:00] would I change it? Yeah. Why w- Don't fix what ain't broke.

William Salvi: When, when the banks were telling you no- Yeah

and you were being rejected- Mm-hmm ... and then the Rich Fin bank said yes. Yeah.

Nigel Morris: What'd you

William Salvi: say?

Nigel Morris: Rejected. Yeah, yeah, yeah. Yeah, like-

William Salvi: Well, like, did you believe them? Actually- Did you bel- Did you, when you were- I- Or, or did you think to yourself, "I have a sure thing here." Uh, th- th-

Nigel Morris: No,

William Salvi: no ... it's ridiculous that they're rejecting me.

Nigel Morris: No, but I was, but I, uh, I think I speak for Rich too here, but we were infected by the idea, the vi- the, that this could be really big, and it was absolutely right to do it. I don't think we knew how to do it, but we were enthralled by the framing and the heuristic of it, and we knew that the kind of skills that we had and the skills that were existed in our consulting business would be the strategic fulcrum that would enable it, and that these banks didn't have the framing nor the skills to do it, and didn't have the impetus to leverage this, the, the new technology that was emerging in terms of relational databases.

Okay.

Nigel Morris: So, um, the talent was not in the banks doing consumer lending because they didn't need to do it. They were getting returns on retu- [00:31:00] returns on equity of 32%, and they were growing at 20%. In that world, why would you change anything?

William Salvi: Is it a stupid comparison for me to say this sounds like the subprime mortgages in 2008 where banks were making money hand over fist,

and like they had some mortgages that were really great and then some that were total shit, and so they weren't really appropriately- Yeah

analyzing

Nigel Morris: it? The, the, the,

William Salvi: uh- Is that a stupid, uh- No,

Nigel Morris: no, no. It's a- ... comparison? It, it's the, it's the tyranny of ho- of homogeneity.

William Salvi: Okay ...

Nigel Morris: that here's a bunch of stuff, and it's in a pool, and it's all the same.

William Salvi: Yeah.

Nigel Morris: Right? It's not the same.

William Salvi: And we're happy because the returns are coming in either way.

Nigel Morris: On average, it looks fine.

William Salvi: Right.

Nigel Morris: But, uh, when it's subjected to an exogenous force, such as happened there, uh, the economics change dramatically.

William Salvi: Okay.

Nigel Morris: So, you know, I think that the, the, uh, one of the things that we learned, uh, at Capital One was that the, uh, uh, infinite levels of peeling the onion makes sense in sub-segmentation. And a ca- and candidly, if you run the clock forward now to a world of AI, [00:32:00] the ability to sub-segment at scale is massively important and massively valuable from an economic perspective.

Okay. So, um, Cigna Bank, uh, a chap called Rick, Rick Dean, was the CEO, and, uh, uh, the, uh, uh, running the consumer lending was David Hunt,

somebody I still stay in touch with. I remember Rick Dean saying to me, he, he had a, he seemed to have an index finger that was about, you know, 18 inches long. And he, and he pointed and he said- Don't you let me down.

When he met- when they said, "Come over and do it." And-

William Salvi: How old are you at this time? 27?

Nigel Morris: No, I'm a little older. I'm 29. 28, 29. I'm still a kid, though. Yeah. I mean, I'm, I'm still... I'd never done anything. I'd managed 10 people, and they all looked like me. Right. All right? They may have a different accent, but they had the same kind of background.

And, uh, you know, I'd, I'd knew nothing about leadership and management and how to m- m- turn a idea into action. I'd watched banks try to do it, and I'd learned some of the things you should not do, but I'd ne- I had [00:33:00] never been at, I'd never sat in the driver's seat with the steering wheel. So, um, I stared at this for some time.

Rich and I both stared at it and said, "Should we go and do this?" This is the perfect, you know, agar jelly, the fertile environment. 'Cause they want us to do it, we've done, we've done the stu- we've got deep into the study for six months. Um-

William Salvi: It's time to do

Nigel Morris: it ...

William Salvi: you know,

Nigel Morris: should we go do it? Yeah. And, and I pulled the f- rip cord f- before Rich.

I said, "Look, Rich, I'm ready. I've been doing this for three, four years consulting now, and I don't think it's me. I've got this, I've got this voice in my head, uh, this imposter syndrome voice in my head saying, um, you know, if I... I don't wanna spend my career walking around telling people how they should do their business differently.

I wanna know if I can actually make a business be different." And I w- w- you know, I, I, as a, as I'd been promoted a few times as a consultant, I was starting

to worry that I was getting too good at selling ideas without any real, uh, [00:34:00] background in knowing what I was talking about.

William Salvi: Right.

Nigel Morris: Uh, and I started to worry about myself then, the imposter syndrome of, uh, of being good at selling, which is how you get re- uh, the senior levels in consulting.

It's all about selling and building relationships, which seemed to be going well. So I said, "Look, I'm, I'm, I'm gonna jump. I'm gonna do this." And then Rich agreed to come, too. He came a little bit after me, but, but we, we both jumped together. And our consulting firm was

William Salvi: still- How many people did you have at the early days of Capital One?

Nigel Morris: Uh, well- Which is a question two- First of all, we went to, we, remember we went to Signet first, right? So we started working and running the credit card business at Signet. That would've been 800 people.

William Salvi: How many, how many, uh, how much time were you, h- how long were you there? Excuse me.

Nigel Morris: At Signet Bank? Uh, it was two, three to four years.

William Salvi: Okay.

Nigel Morris: Yeah. So- So you

William Salvi: were getting ample experience with managing more

Nigel Morris: people. Before- Yes ... before Capital

William Salvi: One.

Nigel Morris: Yeah. So the i- so we c- we came into Signet, we're running the credit card business, um, and we are now saying, "Look, how can we take all this, uh, uh, uh, uh, list of [00:35:00] ideas a- and concepts that we have been working on, now how do we start to really move them to, uh, action?"

We hired the teams to do it. We brought them out of our consulting firm and from other places. We recruited extensively at the top universities up and down the, largely up and down the East Coast, and we started to, uh, to push to make this work. And it was really amazing as a, uh, to try to turn idea into action.

And loads of, uh, loads of learnings on that route. And it took a lot longer than we thought. It was much harder than we thought, and it was much more expensive than we thought. So our naivete, my i- naivete going in, uh, was pretty obvious. And inter- in, uh, uh... Ironically, Signet Bank went through a little bit of a real estate, uh, credit problem while we were trying to make this idea work, which ironically gave us time to figure it out, or else I think we may have been frog marched out of there, uh, uh, with never [00:36:00] really pulling it off.

But what started to happen was we did crack the code. We started to figure out how to access the low, uh, the low-risk balance transfer product. So we would go out with a teaser rate product, uh, with a balance transfer capability. So, uh, you're paying nineteen point eight percent, we'll charge you nine point nine percent.

Here's a form, fill it in, move your balances over to us, and you'll save yourself, uh, you know, a thousand basis points. And then that teaser rate would move up to a higher rate. We started to do these kinds of products. We developed a secured card product for people who had poor risk. We had a higher priced product.

So we started to, um, put together the, all that risk-based pricing and, uh, and started to sub-segment around, uh, how to optimize response rates, how to optimize collections, how to... The, the giant, uh, laboratory that was Capital One of testing everything. Right. Everything that moves that's important, test it, both by developing hypotheses and/or watching what the competition is doing.

So we turned the business into a giant [00:37:00] laboratory, and it started to work. So, um, uh, what was starting to happen was we were starting to suck all the equity and the energy out of Signet Bank because we could say, "If you spend a dollar today, you'll get two dollars tomorrow." And no other business can ever...

could, could ever make such a claim. So we were getting access to all of the marketing spend. The rest of the, uh, the Signet Bank was suffering, and the secu- You

William Salvi: were doing too well.

Nigel Morris: In a way. And the securities analysts wanted to come and talk to us. Who are these two, who are, who are these two guys that are changing consumer lending?

And look at the, the economics were starting to show up in the, in the business. So, um, a very forward-looking board and management team at Signet said, "Look, um, there's a thing called a conglomerate discount here." And that is you've got a traditional well-run blue chip, uh, uh, Virginia bank. Actually, before it was Signet, it was the Bank of Virginia, which is the oldest bank in Virginia.

And then you've got this juggernaut of a direct marketing analytical framework that's called, that's there running the card business, and they're [00:38:00] two separate businesses. And by putting them together, you're not getting the value from the two. So, uh, that started to lead to discussions about spinning off The credit card business from Cap- uh, from Signet to become Capital One.

How

William Salvi: did you come up with the name Capital One?

Nigel Morris: Ha. We- the- it, it wasn't easy, and the, the earlier i- earlier ideas were ridiculous. I remember-

William Salvi: Do you have ... Do you remember any?

Nigel Morris: I've got ... Yeah, there was one called Oak Tree. Oak Tree? Oak Tree. Oak something. Oak Stone. Oak Stone it was. 'Cause we wanted something that sounded really, really stable and- Yeah

uh, uh, and robust. Oak s-

William Salvi: It's reminding me, I'm not, I'm not insinuating you were doing anything wrong, but it reminds me of Wolf of Wall Street. Like, what's the Stratton Oakmont or something like that.

Nigel Morris: Well, he was ... Yeah, he had a lot more fun than- Very successful ... than, than I did- Yeah ... uh, uh, in the film. But, um, so yeah, so we w- we wanted that.

And then, but then, uh, Rich and I work- we do the, the final two, um, uh, uh, ideas was Capital One because we're in the capital and it's capitalist finance, and Global One, which is [00:39:00] the one that I was, I was more arguing for. 'Cause I saw, uh, right at the end of the Signet period going into Capital One, uh, we launched the UK.

And I'd always wanted to take the business to the UK. And under Signet's, um, uh, auspices, they would never let me do it.

William Salvi: Yeah.

Nigel Morris: I remember sitting down with the CEO and I, I say, "Look, I think we're..." Uh, Signet, when we're in the Signet. I said, "Look, w- what we're doing in the US works. It will work in the UK. Yes, the market's a fifth or a quarter of the size, but the same, uh, market dynamics exist.

We should take this to the UK." And he said, "We don't go to other geographies." I said, "Look, we're not talking here about Venezuela or Turkey. This is actually a developed

William Salvi: country- This is an established ...

Nigel Morris: Yeah ... and, yeah, and it's got Anglo-Saxon law," and you know. But he, he ... But that was a, that was, uh, not on. So I wa- I believe that Capital One could go to, could be a global phenomenon Um, so I was pushing for Global, but that was more whimsical than Capital.

So we ended up with Capital One.

William Salvi: Okay.

Nigel Morris: And we-

William Salvi: But how, well, t- tell me how when you started Capital One, [00:40:00] did you raise money for it? Did it just spin off and your business was already running? Like, how many people were there? Like- Yeah ...

Nigel Morris: day one. It spun off, it spun off, uh, in, uh, in 1994. Um, and it was about 800, maybe 1,000 people.

Okay. Had a market cap of about a billion dollars

William Salvi: at- And it spun off and it was immediately public?

Nigel Morris: Yes, that's right.

William Salvi: Okay. That's right. How was that going from being a consultant and being young to now I'm a co-founder of an 800 to 1,000-person public-

Nigel Morris: Well, remember, hey, I had to, I had the f- three or four-year ramp up while at Cigna that I had, had that ramp up.

But I was a... I mean, I speak for myself. Rich w- uh, might, might feel differently, but I felt massively ill-equipped to now start to talk to securities analysts and regulators and, you know, and all the, uh, all the paraphernalia that goes around being a public company executive. So Rich was-

William Salvi: Especially in

Nigel Morris: finance

uh, Rich was, Rich was CEO and I was president and COO at that time. So yeah, I was very young. And again, I mean, I think the story is consistent, you know, of being way out of my depth, [00:41:00] but then sort of managing m-managing my ... able to claw my way into being half-decent at things. Right. So that was another step up of incredible learning.

William Salvi: Are you still close with Rich?

Nigel Morris: Yeah, we talk. Um, we actually talked recently. Um, why did we talk recently? Um, oh, we ta- he sent, he sent me a note actually about, uh, my f-team Tottenham Hotspur. Um, he said, "I remember, Nigel, that you're a Tottenham fan." It's true. And, uh, I, and they're in a, a death, uh, a death race to try to stay up.

Um, you know, I wish, I wish Tottenham well. That was two weeks, three weeks ago.

William Salvi: Nice. Yeah,

Nigel Morris: nice.

William Salvi: How was it, uh, building a business with him?

Nigel Morris: Great, uh, 'cause I learned... Uh, uh, he's, uh, he was an idol to me in many ways. Um, and our skills were really complementary in many ways. I mean, he's, uh, quite a bit older, uh, like nine years older.

So when we were in our 20s, nine y- he had nine years of experience I didn't have, so he has, you know, multiples of experience. But Rich was a, Rich is and was a really brilliant [00:42:00] strategist and a really, uh, uh, great at figuring out what is the, the most important thing and then focusing on it. And what I learned to do, back to my theme of adaptability, I think that, uh, I learned how to help discern which of Rich's ama- uh, ideas were the most amazing- And then work backwards from giving him the p- uh, the support to do that really well, and I'll take care of everything else.

And I, and I- I was always comfortable doing that, and I think I've... because I'm kind of more chameleon-like. Um, and it's

William Salvi: very inter- Well, that goes, that goes back to your adaptability from when you grew up.

Nigel Morris: Yeah, and it's diff- it's, and, uh, you know, and it speaks to, uh, I would, I would sort of one minus my way back from what, uh, what Rich was focusing on.

And I focused a lot on the operations, I focused a lot on the infrastructure and the culture, the people, uh, the leadership side. And Rich being, you know, very focused on strategy and brand and, and positioning and, uh, and the, you know, what's in your wallet?

William Salvi: We you just said that out loud, and I was like, "Oh yeah, that's [00:43:00] right.

That's his slogan." Yeah,

Nigel Morris: that's right. You remember the Visigoths and the

William Salvi: Vikings? Yeah, yeah, yeah. Of

Nigel Morris: course. Now, I was in the room when we f- when what's in your wallet came, uh, came... Uh, the, you know, I'm sure there are lots of people who claim that they came up with it. I didn't, but I remember it coming up, and I remember going that, you know, this is a eu- It sounds

good.

Nigel Morris: Yeah ... this is a eureka moment. Actually, I think it was a... I don't, I can't remember the name of the, uh, um, the PR firm, but it was actually a, an English guy who lives in, uh, Chicago, and I recently linked, I did a LinkedIn conversation with him. Oh, nice. And I said, "Look, I know that you were the architect of what's in your wallet.

Isn't it an amazing thing?"

William Salvi: Yeah.

Nigel Morris: Uh, yeah, so it's now part of the, part of the culture.

William Salvi: Looking back on, uh, the Capital One experience, 'cause we'll move on from that, but, um- Mm.

Sorry. Real,

William Salvi: real

quick. Oh.

William Salvi: Sorry. Perfect timing.

Can I just have you take the pack off? Yeah, you can t- take, take, do it. Yeah.

William Salvi: This damn pack.

If you want that.

Yeah.

Nigel Morris: What is the, uh... Is that a su- what is this?

William Salvi: It's a sun.

Nigel Morris: It is a sun.

William Salvi: These are two burn marks from cooking.

Nigel Morris: From?

William Salvi: Uh, from cooking. I was just a moron. Oh, cooking. I, I opened, I opened the thi- I still remember it. I [00:44:00] opened the stove, and I, like, pulled out to see what I was cooking right onto my arm.

And if you've ever burned yourself with, like, a hot pan- Yeah ... this shit sta- this was, like, two years ago. Uh-huh. It just, like, stays. Yeah. And that's my story. And then I'm five boys. This is- I

Nigel Morris: remember the five boy- what's the, what's the sun for?

William Salvi: Um, I am-

Nigel Morris: Who's interviewing who here, by the

William Salvi: way? I like it. No, I like the, I like the, I like the question.

The sun is, uh... it's like, uh, you gotta rise up every day. The sun's gonna come every day. Rise of the sun. And you gotta give, you gotta give the energy. Yeah. Life's, life can be cruel and tough, uh, if you wanna view it that way. Yeah, yeah. Like, there's a lot of dark things in, in the world. Like, you can be sad about a lot.

Nigel Morris: Yeah, but, but with your- But- I mean, you strike me as being a positive force, an optimist. No?

William Salvi: I like to think I am. Yeah. I think I am, yes. You are, right? I think most pe- I think most people who-

Nigel Morris: But we control that, don't we? There's some things in life we can't control, but we c- we can

William Salvi: control our mood. You

Nigel Morris: can control.

William Salvi: And, and I also, like, I have a couple f- I have a couple friends that talk about this a lot. It's actually not easy to [00:45:00] be optimistic or... I don't like using the word happy, 'cause that's kind of, like, fleeting. Uh-huh. It's

more contentment and- Yeah ... and also I don't like the word positive, 'cause that, you know, there's toxic- th- there can be toxicity to positivity.

Oh. You know, if you're, if you're in a foxhole, uh, getting gunfire at you, you can't, you can't be necessarily be positive. You can be optimistic, though. You can say, "We're getting out of this. We're gonna fight our way out. You know, what, what can we do? Like, let's problem solve." Yeah, okay. But positive, "We're doing great," you're in the foxhole, you're not doing great.

Like, things, things are doing actually a lot more- Yeah, you can

Nigel Morris: be p- you can be ridiculously pol- Pollyannish. I think that, uh, you know, so- I'm

William Salvi: not saying there's anything

Nigel Morris: wrong with being

William Salvi: positive. Yeah, no, that's fine. But, you know. No,

Nigel Morris: no, no. That's fine. Yeah. I mean, yeah. Uh, okay.

William Salvi: Yeah.

Nigel Morris: I'd buy that.

William Salvi: Um, moving on to, uh, b- back, going back into it.

Stop interviewing me. This is for you.

Nigel Morris: Yeah? So-

William Salvi: No, I'm just- There's a bit of reciprocity here in the process. Yeah. I like it. I like it. I like it. But, um, looking back, like, fi- founding a company with someone.

Nigel Morris: Uh-huh.

William Salvi: Um, we all know the story of Capital One- Yeah ... and what it's become- Uh-huh ... and, and the success it is, but what are some of the major

[00:46:00] losses you and Rich had together, where it bonded you both over those 10 years where you were working closely together?

Nigel Morris: Yeah, so we'd worked together as consultants for two or three years, and then we were in the Signet time for four years, and then, uh, I guess 10 years at Capital One. So we, I mean, uh, we grew up together. We worked together pretty much every day for a generation.

William Salvi: Yeah.

Nigel Morris: And I learned so much from him. I can ca- I, I can carry him around on my shoulder, and in a situation I can say, "Now, what would Rich do?"

And I think I, I, I... What, um, I think I mostly can predict that. I watched him look at a situation and then come up with a really unique, incredibly elegant, um, uh, insightful, uh, kind of perspective. And I remember saying to him sometimes, "Where does it come from, Rich?" Because it, it's not by... It wasn't- didn't come through paint by numbers.

It didn't come from building up to an argument. It would just come into his head. And I always thought that was ge- that is a [00:47:00] measure of genius that he had. He c- he, he would come up with blinding insights that if I looked at that whiteboard every day for a year, I wouldn't ever come up with. So there's something very, very special about that, uh, skill set.

And now looking back on hundreds of people that I've worked with over the years, the- it's very, very rarefied. So, uh, so the... But the bonding... Well, first of all, it came through the bonding of being rejected by 10, 15, 20, 25 banks that your information-based strategy won't work. We're already doing it, and if it would work, you two couldn't ever pull it off.

And I liked that, and it, it gave me, um-

It, it

Nigel Morris: gave me something to push against. Yeah. Okay, I'm gonna prove you wrong. All right? The, the working class Welsh kid, uh, uh, is gonna prove them all wrong, and I like that, and that gave me energy. Incidentally, incidentally, when we became successful, and it was very hard to argue that Capital One is no longer successful, I had to find [00:48:00] another source of energy to, to, uh, to keep driving forward.

Uh, but it was different, a different set of energies. So that was one, going through that rejection. And I remember we used to drive back and forth together. He lives in McLean and, uh, and I live in Alexandria, and we would drive to Richmond together, 103 miles, bagel store at Fredericksburg.

William Salvi: You'd drive 103 miles every day?

Nigel Morris: Yeah, yeah. Oh,

William Salvi: wow.

Nigel Morris: That's a long- Four days, yeah. In the really early days, four, sometimes five days a week.

William Salvi: Wow.

Nigel Morris: Um, so it was a lot of time together. Yeah. And we'd be in these old, uh, Crown Victorias that looked like police cars.

Yeah.

Nigel Morris: Um, but we would spend a lot of time talking to each other and th- thinking through.

And I, I think that... And even today, when I look at companies to invest in, Will, I look for partnerships, enduring, robust, complementary partnerships, and I d- I don't believe for a moment that I could have made Capital One without Rich. And I don't know if he would say the same thing, but we... There were times when I was ready to throw the towel in.

This is not gonna work.

William Salvi: How so?

Nigel Morris: Like what- It's too painful. [00:49:00] Uh, you know, it's,

William Salvi: it's-

Nigel Morris: Give me

William Salvi: an example of when and why ...

Nigel Morris: uh, you know, it's, uh, it's, uh, it's happening too slowly. Uh, you know, Cigna Bank are gonna figure out that we don't know what we're talking about. Um, you know, uh, there's, uh, there's a recession on the, on the horizon, and our credit risk is going to explode.

Uh, the systems aren't doing what, what we thought they would do. It was a... A- and, and I'll come to one big event that I think was really incredibly bonding for us in a second. But the... Going through that and spending so much time together, and one phrase that Rich always used was that, uh, uh, uh, the, the, uh, uh, darkest time is just before the dawn.

And I remember him saying that, and I remember going, "Yeah, okay. We can get

William Salvi: through this." It's Harvey Dent too- Hmm? ... from Batman. Yeah.

Nigel Morris: So it is, it is- It's Harvey Dent ... it, it's funny. It, it is quoted in, uh, in Batman. I think that's probably- Yeah. I

William Salvi: think Harvey Dent quoted Rich.

Nigel Morris: Okay. Did he

William Salvi: really? Yeah. It sounds- Yes.

No, no, no, he didn't, but it sounds like

Nigel Morris: Rich might have heard- So maybe we should have hired Harvey Dent. Yeah. He might have been really helpful. He's a good problem solver, Harvey

William Salvi: Dent, right?

Nigel Morris: Yeah, he is. It seems like it.

William Salvi: So, yeah, so- Until he became a damn Two-Face. Yeah. Uh,

Nigel Morris: [00:50:00] I think that, I think that, you know, um, uh, my, my energy and passion and, uh, focus on people and culture and, uh, building, uh, I think was really complementary to, uh, a lot of Rich's skills.

So, um, but the, the time, the, the most challenging time, um, was, um, in about 2002. C- business was doing really well. We were growing really nicely. And, uh, the r- uh, the regulatory climate started to become really much tougher and austere. And there was a, there was a, a, a competitor of ours called Providian, ba- uh, based on the West Coast- And they got themselves into a pickle with the regulator.

And that, uh, that same regulator looked after us, and they saw, and they listened to what Providian's rhetoric and narrative was, and it was in very similar... I think that actually they had, uh, uh- Started

copying

Nigel Morris: you guys a little bit ... in truth copied a,

William Salvi: copied a

Nigel Morris: lot of us. Yeah. They didn't have the, they didn't have a lot of the tools that we had, but they k- they picked up on a lot of the, um, the frameworks and the i- and the narrative.

And they saw some of the [00:51:00] behaviors of, of- What

William Salvi: was the behavior that the regulators did not like?

Nigel Morris: They were largely around, uh, how, uh, how disclosure true they were to customers.

William Salvi: Okay.

Nigel Morris: You see, I mean, particularly with near-prime, sub-prime customers, their level of financial sophistication is sadly, uh, very poor, even to this day.

Uh, and I think there's such a responsibility that we have as providers of financial services to focus on financial education and financial support. But they saw some of the behaviors. One of them I remember was that, uh, they would, um, ask... They would offer, uh, opportunities for people to get a bigger credit line if they paid a fee.

That's not, that wasn't, that's, uh... A- and it was done in a, in a, in a way that I think the, the regulators had a problem with it.

Right.

Nigel Morris: So they started to slap, uh, uh, on top of Providian all kinds of actions and restrictions. And then they were coming to us. And what was really interesting is that, um, basically right from the get-go, they said, "Look, you're guilty and prove, until proven innocent."

You sound like them, and we didn't like [00:52:00] them. Now therefore, we're gonna give you a memorandum of understanding," which is basically a shot across your bow. "Now, you can disclose it if you want to, it's up to you, but if you think it is material, then you should disclose it under securities law." So-

William Salvi: Were they a public company as well?

Nigel Morris: Uh, yes, they were.

William Salvi: Yeah.

Nigel Morris: Yeah. And they, uh, their stock price had been decimated as a result of this. And I remember sit- Rich and I sitting down together and saying, "I think we have to disclose this." Uh, it, it, to me, it felt patently unfair, but fairness is, uh, uh, w- uh, is not a, a get out of jail here. So we disclosed it, and the stock price fell 40%.

William Salvi: Oh, wow.

Nigel Morris: It went from 11 and change billion dollar valuation to seven-

William Salvi: How much of Capital One did you own?

Nigel Morris: Uh, s- low single-digit percentages Um, but, uh, the stock fell by 40% overnight. And, uh, you know, there's a, there was a side of me that says, "Look, look, regulator, this is not fair. You have not [00:53:00] evaluated us."

Please evaluate us, and then in the spirit of transparency and independence, then let's see where we are." But to be, um, to be put in a position where, uh, you were guilty until proven innocent just did not feel right. But it's, uh, yes, sir, no,

sir, three bags full, sir. You have to... This is the, this is the world that you live in.

And then for the next year, uh, you know, Rich and I both went around the organization saying, "Look, it's okay. We know what we're doing. We'll work our way out of this." And we did. But it was a really traumatic event, and one that I think, uh, I, I carry with me now, what, 24 years later, uh, s- scars on my back as a result of that.

And in so many of the companies that we have worldwide as QED, I am able to point to that scenario in a way to say, "Look, regulators matter."

William Salvi: Something to look out for.

Nigel Morris: They matter. Now, could we... You know, in, um, if I look back on it, we could have seen it coming. [00:54:00] We didn't. We could have maybe prophylactically have managed our way through it if we'd have seen it coming.

Maybe. But it was a, it was a tr- it was traumatic, and it, and it rocked the organization right to its core.

William Salvi: Is this... Do you think it had, uh, any reason for you to leave Capital One? Maybe not that specific problem- Ah ... but, like, you strike me, you mentioned- Ah ... like, authority. Here comes regulators. You're at this big- Yeah

company. Capital One has grown so much. Yeah. This is around twen- 2002. You leave in 2004. Like, maybe- Yeah ... this is a moment where you're like- Yeah ... "I don't know if I wanna be in this situation."

Nigel Morris: Yeah.

William Salvi: You know- You don't strike me as the type of person who's, uh, and I don't mean any... I actually mean this in a complimentary way, but, uh, you don't strike me as the type of person who's necessarily, like, the boxed up corporate CEO.

Nigel Morris: No, and I'm not. Um-

William Salvi: Like a public company banking corporate CEO.

Nigel Morris: Yeah. It's a, it's a... I think it's a, it's a, it's a very, um, it's a g- it's a really good question. Um, I was at that point starting to say, "Look, uh, I don't know if this is for me in the longer run." I enjoyed the [00:55:00] building. I enjoyed the open field running.

I enjoyed the entrepreneurship. And now at a c- at that point, Capital One's worth \$11 billion.

William Salvi: How many employees at that point?

Nigel Morris: 20,000.

William Salvi: Yeah, sure.

Nigel Morris: So we had gone from credit cards to installment loans to personal loans to home equities to mortgages, deposits, and CDs. We'd gone from the US to the UK to Canada to France to Italy to Spain to South Africa. You're

William Salvi: now a financial institution.

Nigel Morris: Yeah, and we were- Yeah ... with the c- the global embracing of, of Capital One, and we were, we were top of the tree.

William Salvi: Were you happy? And, uh, let me ask you, how about this? You're

Nigel Morris: not-

William Salvi: Were you, were you... What were you gonna say?

Nigel Morris: You're not supposed to use the word happy, remember?

William Salvi: Oh, yeah, that's right.

Nigel Morris: That's right, 'cause you don't like

William Salvi: that word. No, but were you, were you content, happy in that 2002, 2004 period?

Nigel Morris: No, I was starting to get restless, and I...

'Cause I could see that the dream and the energy that was so quintessentially Capital One w- I was [00:56:00] worried that it was starting to get diluted, and I was worried that the growth was slowing. We had a, uh, in 2004, we had had, I think, 10 or 11 years of 20% earnings growth every year, and a return on equity over 20%.

So, uh, and our stock price had gone from 8 billion to 11 billion over the time. So I can do that, I can do the mathematics- You're doing it in my mark- mark, yeah ... of that in my head. An 11 X return is venture capital type returns. So, uh, but I, I felt like the, uh, the regulatory environment was becoming tougher.

I felt that the growth rate would decay. I felt that the, uh, we had taken down so much of the, v- voraciously, had taken down so much of the low-hanging fruit of the opportunity, and I worried that it was gonna start getting diluted. So, uh, and I think that unlike Rich, and he can speak for himself, um, I started to say, "Look, I think this has been an amazing journey, and I've so, uh, love this organization almost like a child, but I'm [00:57:00] not sure if I want to be here for the next 10 years doing this."

William Salvi: What did he say to that?

Nigel Morris: Uh, I think Rich, uh, you know, de- it depend on the day perhaps, but I remember him saying, "Look, we have to keep the band together, Nigel. You know, uh, this is Lennon and McCartney." And I always wanted to be Lennon in that. I think Rich was better as McCartney, but I always wanted to be Lennon 'cause Lennon always seemed to be the one who was, um, the, uh, uh, the more spiky and, uh, the less, the more volatile one, which I probably was.

Um, but no, I think he w- I think that, and I, I remember sitting with the board saying, "Look, I think I'm wanting to move on." And they, and I was in my early 40s at that point, and they, I remember, I remember Jim Kimsey, who's a, who was the found- co-founder of AOL, uh, and a, um, a, a, a soldier by nature and, uh, did I think two or three tours in Vietnam.

But I remember him saying to me, "Look, Nigel, it happens to a lot of us in our middle 40s. You know, this is, uh, this is the early onset of, uh, midlife crisis. You know, get yourself a red sports car and, uh, [00:58:00] maybe you'll, you'll get through it." But Capital One was changing 'cause it was a, it, it was a, now this, you know, huge, huge enterprise, and I was changing, too.

And I don't think it, uh, my intellectual curiosity and the verve that I had so relished in-

William Salvi: Being dampened ...

Nigel Morris: that was... Yeah. So, um, and the, the MOU got in the way of that. Because I c- never felt I could leave while, uh, the ship was rocky.

William Salvi: Right.

Nigel Morris: So once that happened, I said, "Okay, now-

William Salvi: It kind of rocked you back into, into orbit.

Nigel Morris: Yeah ... I've got to, yeah, I've got to stabilize. I can't be seen to leave now because people will s- people, one, will say Nigel let us down, uh, because, uh, you know, he, he should be here helping us through, navigate this as a founder. Um, that I think was very much on my mind. And, uh, a- and two, I never would wanna p- put the organization in a situation where it looked like, uh, it was in worse shape than it was.

So the next year or so [00:59:00] was about stabilizing a four... You know, yes, there was a four- 40%, s- um, shock to the system, but we're gonna be all right. Our business works. Our strategy is superior. Our analytics and capability will, will out. And when the MOU got lifted and the stock price had recovered, then, and only then, did I say, "Okay, look, I now- Now

William Salvi: it's time

Nigel Morris: I'm gonna set a year transition." Which by the way, all the business school books tell you, do ne- never do that. When you're, when you, when a, when a founder, a, a senior person leaves, you truncate immediately, and you like frog march them out like in, like in the Wall Street film. Uh, and you, uh, you move on.

But to me, as a f- I felt I had a responsibility to make sure that when I left my bedroom, that it was not in a mess.

William Salvi: You know, business school books fail to mention that you left an institution versus like a different, like 100 person company. So maybe the transition was necessary. It,

Nigel Morris: it was, yeah, and, a- and I cared so des- deeply, you know?

[01:00:00] To me, the... I, I was leaving, I was leaving my child. My child has, now was an adolescent or in early adulthood, and I, and I knew that it could flourish without me. And I severed a piece of my body every day for a year, handing off my responsibilities to, uh, people that I had grown up with.

William Salvi: What did you learn about yourself from 1994 to that moment of leaving?

Nigel Morris: What did I learn about myself? I, I learned about my own tenacity. I learned about how, uh, my own robustness, and I learned and I reinforced my own adaptability. You know, I could play many, many different roles and do a half-decent job of them. But I think that what I learned, and something I carry with me so deeply now, is that the only sustainable advantage is culture, and culture is driven by leaders and people, and authenticity is really important.

People don't follow you because you're the cleverest. If you're not clever at all, it's hard. But you've got to... It, it's about people [01:01:00] believing that you have a, a, a real bond of loyalty and, uh, and reciprocity and vulnerability, and building things with people who are like-minded. Uh, and I learned that, you know, from...

And now looking back at Capital One, now the biggest credit card company on the planet, and it wasn't then, but it is now. You know, from tiny acorns, amazing companies of enormous magnitude can be built in a world where if you'd have looked at it objectively in, you know, in 1988 when Rich and I left SPA, you'd say that the credit card business was saturated, and it's dominated by the big banks.

Right. So, uh, you know, uh, that, that I carry with me as part of my, uh, narrative and rhetoric into, uh, into venture capital, and I really believe this, Will. If I hadn't had experienced consulting to the incumbents and seeing some of the issues we talked about earlier, and as Capital One defeating so many of the incumbents at their own [01:02:00] game-

William Salvi: And then kind of becoming one

Nigel Morris: and then becoming one and then leaving it, I would have not had the audacity, uh, the, uh, uh, conviction to now invest in tiny fintechs to take on the big incumbents. You know, the new banks of this world, the credit commerce of this world, the plans of this world. Did

William Salvi: I tell you I'm an investor of Nu Bank?

Hmm? Hmm? Did I tell you I'm an investor of Nu Bank?

Nigel Morris: Good, good for you. Thank you. Right. Yeah.

William Salvi: Thank you.

Nigel Morris: That's, uh... I, I am, too, and I've, and I've- And I'm very happy about that.

William Salvi: Yeah, yeah. It's

Nigel Morris: a great... It's v- a, a wonderful company, and probably, uh... it's probably the only real rival to Capital One now, and it's got a lot of Capital One DNA in it.

But it started 20 years after. Right. So it's been able to take advantage of the next wave of technology in that it is almost entirely digital.

William Salvi: Right. Do you, uh, the... On your LinkedIn it says you have a four-year gap from Capital One to QED. Did you have an identity [01:03:00] crisis in that four years? Did I? What'd you do?

Nigel Morris: Uh, you know, it's...

William Salvi: What does a founder do when you f- w- A former founder do when you, uh, create something as successful as C- Capital One, and you were part of something so big and so massive, your baby, it's now an adolescent, and it's, it's gonna flourish. What do you do? What lesson do you have for founders when they've built something great, doesn't have to be the size of Capital One, but they built something great, and then they- Oh

they essentially wanna leave 'cause it's time.

Nigel Morris: Yeah. See, I, I didn't leave to do something. I left because what I was doing was not right for me. And a number of people said to me, "Don't, don't leave to nothing, Nigel. Leave to another lily pad." And I wasn't able to, I, I couldn't focus on what my next lily pad was going to be until I had the space-Freedom, yeah

space to listen to the universe. And I really felt like I'd been, since I came, come out of business school in '85 to when I left Capital One in '04, '05, what is that? That's, uh, uh, 20 years. I felt in that period I'd been [01:04:00] incredibly narrow and incredibly focused, incredibly intentional, disciplined, and I wouldn't change it for the world.

But I had not been eclectic or pluralistic or, uh, dabbling. And I wa- The first thing I wanted to do was to leave Capital One, uh, with my, where I could put my head on my pillow at night and say, "I've imbued this organization in the best way that I possibly could, and it will be successful and will flourish without me.

And I'll always have love for it, and some of my best friends are still there, but you know what? I can now move to the next stage." So what did I do? I had a lo- I, I, I had a, I had four or five boxes that I had. I remember the slide that I wrote, uh, to myself. It said, um, "I'm going to, uh, I'm gonna do some teaching.

Um, I'm going to focus on my, uh, my physical wellness more. Um, I'm going to try to write some things." Um, I talked about how I was going to really invest much more [01:05:00] back into my family.

William Salvi: Were you financially, like, totally okay at

Nigel Morris: this

William Salvi: point?

Nigel Morris: Oh, yes. Yeah, yeah, yeah. Yeah. I was r- I, I was absolutely blessed at that point, where, um-

William Salvi: You didn't th- That wasn't even a thought.

That it

Nigel Morris: was- No, no. Yeah. And you know, so an interesting que- it's interesting 'cause I remember carrying around, during the time of when I was getting ready to leave or when I was leaving, I remember, uh, carrying around in my briefcase, this is an embarrassing thing to admit to uh, my net worth statement.

Because there was a part of me, the work- The young counselor was ... the working class kid, uh, from Wales, and the imposter syndrome in me was

saying, "Now, you're about to throw away, Nigel, uh, a very lucrative job that you're in, where you're very, very senior, where you are clearly, at least on paper, the heir apparent.

Are you gonna throw that away?" And I carried that net worth statement around with me for a year in my briefcase saying, "Okay, but if it, uh, uh, you, you don't have to worry about money." And I still turn the lights off when I leave a, [01:06:00] leave a room, and I still tell my adult boys to do the same thing. So the, uh-

William Salvi: Especially today with the e- energy-
energy costs going up.

Nigel Morris: So I, um-

William Salvi: Real quick, how's he doing with the chair? His chair's kind of scooted back a couple times.

Nigel Morris: Am I? Am I scooted back? Yeah.

William Salvi: Okay. Just, uh, very slightly. Uh-huh. But I just wanna make sure

Nigel Morris: Brandon Wise is all right,

William Salvi: but- He's good?

Nigel Morris: Yeah.

William Salvi: Okay. Just wanna make sure. Yeah.

Nigel Morris: Thank you, guys.

If you wanna-

William Salvi: I'm just a very excited, e- exciting person- I'm- ... to talk to, so I- Well,

Nigel Morris: and, and I'm getting a bit excited here- ... so I'm rocking back and forth. Um-

William Salvi: But yeah, so, so y- you're in this, you're in this period of-

Nigel Morris: So what's a... Yeah, so, um, I, I, um, I'm, I'm un- I am invariably relatively comfortable in unstructured environments.

But I do remember, uh, you know, sitting there at 9:15 in the morning, and, uh, having already worked out and read all the newspapers, waiting for the phone to ring. And I'm thinking, "Okay, you're not... You're, you know, you don't have that big, big, uh, big job anymore. You don't have that big title anymore."

William Salvi: People stop calling.

Yeah.

Nigel Morris: Yeah. [01:07:00] And it, and it... The headhunters would call, and they would try and get me to do credit card businesses again. I was very clear, "Look, I just, I just left the best credit card company in the world that I co-founded. I'm not gonna go and work for somebody else-

William Salvi: Right ...

Nigel Morris: doing the cr- in the credit card business."

So, um, I, I went pluralist, so I joined the board of The Economist- Oh, fun ... which is my favorite thing to read. Still the on- I still read it physically.

William Salvi: Yeah. I like the editor-in-chief.

Nigel Morris: You like the editor-in-chief? Yeah. The g- uh, and the, the previous editors, if you... If you go up to my office, I've got a whole bunch of covers, uh, on the wall-

William Salvi: Yeah

Nigel Morris: of The Economist. So that was always important to me. I started reading that when I was a, a youngster, and I, I, I, um, don't always agree with it, but I always find the arguments really provocative. Mm. And The, The Economist was going through a stage of moving away from the magazine, that they call the newspaper, to digital form, and I thought to be in that digital transformation was really, really interesting, so I loved that.

I enjoyed the, I joined the board of Brookings, the think tank. Lined up with my [01:08:00] politics of being, you know, center, center left, business-oriented, socially relatively liberal, and I really enjoyed that. Uh, you know, s- uh, working with and spending time with the top, uh, thinkers in that think tank. That was great, and that was very local.

I joined the board of, um, National Geographic.

William Salvi: Oh, fun.

Nigel Morris: Uh, 'cause I really believed in the environment. This is all the... Yeah. I believed in that, and I did some trips there and really enjoyed, you know, the amazing resources that Nat Geo has. I mean, the on- the bit that we see in the museums is a tiny portion of the amazing content that they've got.

William Salvi: So my mom is on the board of St. Mary's College. Ah. And the CEO of National Geographic is also on that board. Oh. Right now.

Nigel Morris: Yeah.

William Salvi: So I don't know about-

Nigel Morris: Uh, and I got, yeah- I can't

William Salvi: te- I can't tell you her name right now off the top of my head, but that's my story for you.

Nigel Morris: Well, the chairman is Jean Case, who's married to, to, uh, Steve Case, who was the other co-founder of AOL-

William Salvi: Okay

Nigel Morris: and local here Um, and I joined the board of, um, uh, Ideas42. Ideas42 is a behavioral [01:09:00] economic think tank that brings psychology and economics together for social good, and I really, I, I really love that. So, um, I-

William Salvi: So you're, you were filling your time?

Nigel Morris: I was, but, uh, no, more than that. I was, I was look- I was wanting to sample horizontally the world, having been so narrow.

I, and I wanted to, uh, I wanted to tap into talent and ideas that were broader than what I had done in the past. So I put the- I closed that chapter off. I didn't wanna do analytics and, uh, and, uh, credit card and lending anymore. And I, and I, I swore to myself, I don't want to go to my grave where, uh, my epitaph says that I sold 100 million credit cards.

Yeah. That I didn't want- That

William Salvi: didn't excite you? Yeah.

Nigel Morris: No. So I went... So I moved the kids back to, uh... We went back to, to London. I, my four children, upheaved them. I-

William Salvi: How old were they at that point?

Nigel Morris: Uh, my eldest was 16, and my youngest was six. Um-

William Salvi: Were they mad at you for that?

Nigel Morris: Two were mad at me, and two were really excited.

William Salvi: How'd you [01:10:00] reconcile that?

Nigel Morris: It was, what was really interesting, the two that were mad at me at the time for moving them, after the year or one year that, that we came back to Northern Virginia, the two that were mad at me about, uh, going were now mad at me for coming back, and the two that wanted to leave wanted to come back, which just really speaks to different, uh, DNA and uh, uh- Yeah

how the, how the, their, their willingness to embrace change and adaptability. But for the, for the four of them, it was really incredible because they, uh, the, you know, London looks outward on it, looks outward, very eclectic in the way it thinks, and the exposure to politics and to, uh, different forces and people from different geographies was really powerful.

Uh, to this day, you know, they, the, the, the, their websites, uh, the, the, the landing pages are the BBC and Sky News, so they lear- they absorbed a different set of, um, uh, cultural and, uh, um, political, uh, uh, content. Um, for, but I think it wa- i- i- uh, for m- I- I, when I [01:11:00] left, I wanted to, uh, I wanted to, uh, wall that part of my life off.

So back to advice, um, is to get a- uh, physically get away 'cause I was in Starbucks, and there'd be a whole bunch of Capital One people in there that'd know me. They'd, "Hey, Nigel, what are you doing next?" And I didn't want to have that conversation 'cause I didn't know what I was gonna do next.

William Salvi: Were you embarrassed?

Nigel Morris: No. No, I wasn't embar- I just didn't, I just didn't wa- I, I felt, um- Maybe slightly guilty

William Salvi: For like leaving a child, yeah

Nigel Morris: Yeah, yeah. Um, and, and why, why did you really leave, Nigel? Well, I really left because I- it didn't feel like it was home anymore, and the jacket didn't fit like it did. And I'm much more of an entrepreneur and an iconoclast than I am a, you know, Fortune fi- a Fortune 200 CEO type.

Yeah. But I wanted the space. That's what I wanted. I wanted to, I wanted to get away from that. So I went back to London, um, plugged the kids into the, uh, American school there. They had a great, by and large, a great experience. I [01:12:00] think they'd all say that. And I started to put together this pluralism that I talked about of different things, you know, NatGeo and Economist, et cetera.

Oh, oh, and London Business School. I joined the board of London Business School. I felt like, uh, they had really taken a bet on me, uh, that I probably did not deserve, and I wanted to put something back in, and I did that too, and that was, that was really, uh, powerful for me. But what happened was, back to that h- uh, three or four-year hiatus, it wasn't enough.

Um, uh, and I started to say, "You know what? I, I, I, um, I wanna... I, I have another, I have another run in me in some way. I wanna do something again. I wanna build something again. I don't want to be... I don't wanna sit on boards and pontificate." In a way, it was a bit retro to being a consultant, where I was- Right

offering advice and thoughts, and I had some experience and leverage of-

William Salvi: At such a high level, yeah

Nigel Morris: But I wanted to, I wanted to build something. So what started to happen almost, um, uh, spontaneously was that, uh, [01:13:00] everybody that

was leaving Capital One know- knew that Nigel was hanging out in Northern Virginia, and we had these...

we started to have some offices, and people would come by and say, "I've got an idea, Nigel. I wanna... I think we can do, uh, we can take Capital One methodologies and frameworks, and we can do X or Y or Z." And we started investing. Uh, Frank Rotman and Karabu Honik. Frank had been chief risk officer at Capital One, and I, I had hired him out of undergrad, and Karabu had focused a, a lot on, um, focused on, uh, uh, the digital age of financial services.

And the three of us started to invest our own money in ideas largely coming out of the Capital One diaspora.

William Salvi: What would you tell these people if they had an idea that they had strong conviction in, but you wanted to reject them because you just didn't believe in the idea, you didn't believe in their, them, you didn't believe in their partnerships that they had because you went through the same thing?

Nigel Morris: Yeah. One of the things that I think we've, we've, uh, adopted as a, a cultural norm, uh, at QED is that we are, we, we tell the truth to our, [01:14:00] the entrepreneur. If an entrepreneur comes and goes through the, um, uh, the challenge of having their idea undressed and evaluated, that we will be honest with them about what we liked and what we didn't like and what we worried about.

You know, to- all too many venture capitalists come up with euphemistic reasons not to do it. Mm-hmm. "Oh, we've already got an investment in the space. It's the wrong time because it, of pacing of our, our fund." Um, you know, uh, "It was just the wrong time, and you, uh, and, uh"- Uh, we will focus on other things.

Rather than, "Look, here are the two things we really liked about your business, but these are the things we deeply worried about. And, uh, please bear these things in mind, and if you figure them out and solve them, there'll be another opportunity for us to potentially work together." And many companies that we've invested in, several of them being incredibly successful, have gone through that.

And you build a rapport with, uh, with a founder by being, um, honest and straightforward and being value add [01:15:00] in the conversation. You know, one of the glories that we have as QED is that we've all been doing it for a long

time, not only as venture capitalists, but as operators. And that brings, that we have a unique perspective as a result of that.

And building that relationship and rapport and building a brand in the ecosystem has always been really important.

William Salvi: How often do founders come back to you to pitch?

Nigel Morris: Uh, lots and

William Salvi: lots. So, so they're taking that, that- Yeah ... information, the rejection, whatever you wanna call it- Yeah ... and they're coming back to-

Nigel Morris: Yeah

William Salvi: adjust essentially and re-pitch.

Nigel Morris: Exactly. Yeah. Lots. I mean, uh, you know, um, what would I... Uh, Remitly, which I'm on the board of, a public company, uh, one of the largest money movement, uh, platforms on the planet, moving from the US, uh, to Mexico, US to Philippines, US to India, then in, in Europe too. Um, we did not invest in the first round Right?

Um, David Velez, who, uh, uh, be the founder of Nubank, asked me when he was a, uh, a young [01:16:00] associate at General Atlantic, uh, to invest in his idea of being Capital One in Brazil. "Will you invest in me, Nigel?" And Nigel said, "I don't... No, I won't. I don't really know anything about Brazil except that they tend to beat England at football and Pele used to play for them."

Um, but, um, he- I said- he said, "Well, look, if you teach me how Capital One does the business, um, I'll give you some warrants." I said, "Fine, come and hang out." We did that, and we had some workshops here with him. He learned, uh, at an amazing rate and turned out to be a fantastic executive, and we invested in the next round.

William Salvi: What does QED stand for?

Nigel Morris: It stands for quod erat demonstrandum, and it's a- I

William Salvi: read this, but I want you to describe it ... as

Nigel Morris: an English school b- as an English school boy, when we'd go through a mathematical proof where you would solve the equation, uh, you would write QED at the bottom of that. And, um, Kara Bohnick pointed out at one point when we were thinking about what to call this nascent venture platform, [01:17:00] he said, "Nigel, you use QED like a verb, which you should not do."

So I would say, uh, "Well, have you QED'd that?" IE, is it absolutely correct, watertight, solved, know- known and robust to be true? Not made up, not half-assed, not could be true here, but not there. Is it, is it real? Is it, is it, uh, uh... Does it, does it sustain the, uh, ana- the glare of truth? And so I'd say, "Have you QED'd that?"

So hence QED.

William Salvi: Nice.

Nigel Morris: And there was a joke that says, we won't invest in anybody that doesn't know what QED means. So...

William Salvi: Um, why fintech? You mentioned on our call-

Nigel Morris: It's all I know.

William Salvi: I know, but you, you, you gave a better answer than all I know.

Nigel Morris: Yeah.

William Salvi: You said- That's just my

Nigel Morris: first answer.

William Salvi: You you said it's a great equalizer.

Nigel Morris: Look, uh- Potentially ... at this, look, so, uh, you know, the, the-

William Salvi: We're getting philosophical now ...

Nigel Morris: we are gonna go phil- we're gonna go sh- we're gonna go philosophical here. So at this stage in life-

William Salvi: Re- hold up, before you answer, I wanna know how many, how many companies has [01:18:00] QED invested in that have gone public?

Nigel Morris: 10-ish

William Salvi: How many companies have you invested in in total?

Nigel Morris: 200 About 4 billion under management?

William Salvi: 4 billion under management.

Nigel Morris: Half of it in the UK. Half of it in the US, half outside of the US. Um, yeah-

William Salvi: Do you love what you do?

Nigel Morris: Yeah. Yeah, I do love what I do. Uh, because I- I... It's a, it's like a, it's a kaleidoscope of, of interesting ideas and problems, and every day, um, a company has an opportunity, and every day a company has a problem.

So if you have a kind of a sen- a, a bit of ADD in you, this is a treasure trove.

William Salvi: I'm an adult-diagnosed AD- ADHD.

Nigel Morris: Well, I, you know, I g- I think I should be on some meds. I do. Yeah. But I've, I managed to escape-

William Salvi: Yeah ... being diagnosed. I'm not on any meds either. I probably should be as well. No,

Nigel Morris: I

William Salvi: think- Like, yeah, why fintech?

Nigel Morris: Yeah, look, so, um... Well, first of all, I, I saw how Capital One democratized access to, uh, to financial services, and the incumbents didn't do that, would never have done that, and still [01:19:00] aren't doing that. And then I look at how, um, financial ser- financial services is a route to prosperity, has multiplier effects, focus on inclusion, uh, taking away the stress and anxiety that people have, uh, all over the world in terms of dealing with their financials, how, uh, it's not taught well in schools, it's not taught well in universities, it's not

taught from m- uh, mother to daughter or father to son, and how, uh, fintech levels the playing field.

So it democratizes access. It's much more transparent. It put, it, it, uh, takes away the economic rents that the incumbents have. It challenges the, uh, inertia that the incumbents enjoy, uh, and, um, and, um, promotes h- much higher net promoter scores. So the consumer, the small business, wins hands down, and the incumbent loses unless the incumbent does a better job.

And the fintechs force the incumbents to raise their game. I'll point to [01:20:00] Brazil, where Nubank 10 years ago, now Nubank got a va- a valuation of \$100 billion and, uh, has a relationship with over 50% of Brazilian households. Yeah,

William Salvi: they have like- It's

Nigel Morris: juggernaut ... 100 million

William Salvi: customers. Yeah.

Nigel Morris: Yeah. 100 million customers.

William Salvi: Yeah.

Nigel Morris: Okay, 10 years ago, didn't exist, and the incumbent banks there were very comfortable. They had great returns on equity. They were growing. And they did, and they dismissed Nubank in the way that Citibank dismissed Capital One when we went public in '94. This little startup entity in Richmond, Virginia, led by two ex-strategy consultants, is gonna take on the mighty Citibank or American Express?

Are you kidding? So the incumbents have a certain, um, uh, uh, lack of, uh, w- uh, belief that these entities can be really challenging. But when they are challenged, they raise their game, too, and the consumer wins again. So to me, f- uh, financial, uh, fintech is a force of so- social good, and, um, I, I'd, I've added [01:21:00] up recently how many companies that I've had the chance to be part of, uh, how many lives they've touched, and it's about 600 million So from Klarna to Capital One to One Card, uh, to Credit Karma, you add those up and, uh, and NewBank, you add all them, they're nigh on 100 million each of them.

And then ClearScore in the UK and, uh, and Remitly and, uh, uh, uh, Zopa, uh, you add them up, I'm at 600 million. My goal before I decide to, uh, hang up my spurs would be to get to a billion And we get to a billion by opening it, by putting really high-quality financial service products in the hands of, uh, the, the developing markets.

So this is Mexico, it's Brazil, it's Indonesia-

William Salvi: Colombia ...

Nigel Morris: it's Colombia, it's India, and I think, and Nigeria. Uh, it's be- And so few of our venture capital friends, uh, will stray to the developing [01:22:00] markets. To me, uh, financial services and developing markets are a wonderful partnership, and it creates so much, uh, wealth, uh, and opportunity for people that they wouldn't ordinarily get.

William Salvi: Speaking of opportunity, you mentioned you left England to come to America. You thought that that's where the action was.

Nigel Morris: Mm.

William Salvi: And then you had mentioned how the US has changed. Not, it's still... You said it's still the place to be, but you said it, it, it changed a little bit. I'm interested, do you th- still think America is, like, a good place right now to do business with President Trump's volatility?

Uh, you know, right now, interest rates, there's multiple global wars. Um, inflation's sticking around. That's, uh, that's global. But, um, I mean-

Nigel Morris: It's a lot to worry about, isn't it? There's a

William Salvi: lot,

Nigel Morris: yeah. But, but what we do have, uh, in America is we have underlying growth. And if you look across the European developed countries, they're not growing.

Look at Germany, look at the UK, look at France. All kinds of issues. This country is growing. Uh, g- In some [01:23:00] ways the, uh, h- octane in the economy has been hard for the Fed to slow down over the last, slow it down in the last couple of years. So you have a vitality here that is quintessentially

American. You know, Americans grow up believing that they can be Steve Jobs or, uh, Peter Thiel or, uh, you know, Bill Gates.

Brits don't grow up believing that. And- And all too often culturally, uh, the Brits, uh, you know, want- will put an entrepreneur on a pedestal and then tear him or her down.

William Salvi: Do you-

Nigel Morris: That's not here.

William Salvi: Do you worry that the younger generation in America is starting to get burned, where they are starting to not look up to Bill Gates?

And Elon Musk, I mean, a lot of people love him, a lot of people don't like him. A very

Nigel Morris: controversial figure, right? Yeah. Yes, I do. I do worry about that. But I do- And,

William Salvi: and poli- politically, a lot of people are now leaning towards Democratic Socialist candidates. They just want a lot of new-

Nigel Morris: Because they're, they're, you know, they...

Y- you see the shift to populist right and to Democratic Socialism, which is really a representation of, "I'm unhappy. I don't like my lot in life. I can't, uh, you know, [01:24:00] I can't embrace the American dream in the way that my parents would have been. The, the, that college degree that I went and got is not helping me."

William Salvi: What do you think, what do you think... You, you have a great perspective 'cause you came here- Mm ... and then you started running a business- Mm ... that became something really- really great here.

Mm.

William Salvi: Um, in its influence.

Yeah.

William Salvi: Like, what is your perspective on younger Americans and, and a, a way for them to feel happier in America, to feel more...

And also just the, the, the reality of I wanna afford rent in New York, how do I do that? Yeah. What is your- I, I think, I want to- I know it's

Nigel Morris: kind of

William Salvi: a broad question, but.

Nigel Morris: I don't think, I don't think younger Americans are proud of this country in the way that, uh, I was when I came to it at the age

William Salvi: of 25. I just got, on my way here this morning, I just got in this conversation.

Nigel Morris: Did you? Yeah.

William Salvi: Yeah, because I'm 35.

Nigel Morris: Yeah.

William Salvi: So I was born in '91.

Nigel Morris: Mm.

William Salvi: And the America that I was, uh, taught about, so to speak, that I was educated [01:25:00] on, um, it's almost like I've been shown a different version of it post 9/11.

Nigel Morris: Yeah, to re- and to reflect on America now, uh, about to enjoy its 250th birthday just, uh, yeah, uh, uh, this week.

In

William Salvi: DC or in

Nigel Morris: the area? In DC. In DC, yeah. Yeah. Um, 'cause I th- I saw, America to me was the, is the bastion of, of, uh, of capitalism, of opportunity for people w- for what- whatever walk of life. You ask, you go to a, a, a, you go

to a cocktail party in the UK and they don't ask you what, you don't, they don't start the conversation with what, what, what do you do?

The conversation is, "Where did you go to school?" And- I will

William Salvi: say

Nigel Morris: I think that's a- ... it's a- it's about class. Yeah.

William Salvi: Right? I will say I think that's a shitty question, too, what do you do, 'cause I think that's about class now, too.

Nigel Morris: It, perhaps so.

William Salvi: Yeah.

Nigel Morris: Um, but the, um, but the, the, the class, class doesn't exist here in the same way as it does in, uh, in the, in the developed European countries.

And I think there's so much to be proud of America. America, the shining city on the hill, [01:26:00] uh, the, uh, the entity that does the right thing, uh, the, uh, the world power that, uh, promotes peace and understanding. And there was a time in the Blair-Clinton era, uh, where we saw, um, uh, we saw these, uh, totalitarian regimes breaking down, and we saw world peace looking much more sensible and pl- plausible.

And I, I, and that, that was a, a real golden age for America, I think. And I really- Does

William Salvi: it worry you in the last 10

Nigel Morris: years? Yeah. I, I worry about, I, I... Look, I'm a, I'm a big pa- I'm a passionate believer that if America was a coun- was a, a company- And we looked at it through the lens of comparative advantage.

What's great about America? Well, um, it's got a rule of law that's really important, and that is standout. It's got... Of the top 20 universities in the world, it's got 14 of them. Some of them being undermined in some ways, but they are best uni- some of the best universities in the world. Uh, people [01:27:00] c- uh, a, a culture of assimilating and leveraging the best immigrants from all around the world.

You know, uh, you know, s- uh, look at the f- look at, look at the founders of, of the great companies that we have in America in the, in the tech space. Um, many of them either, uh, immigrants themselves or sons and daughters of immigrants. This is what made America great, and I think that, uh, that's what we should be focused on.

Ring-fencing the, um, uh, and the c- the capital formation of America around venture capital, uh, around what the prosperity that exists on the West Coast. So I, I've always been a passionate believer that America confuses, um, people coming across the border, uh, in, uh, in from Mexico, and recruiting They're both called immigration, but they're both very different.

America needs to recruit the best and brightest people to come here and build their businesses, and staple the green card to their master's degree in operations research or computer science that they got [01:28:00] from Stanford. Are- And, and that, that we get confused about, uh, 'cause we conflate the two phenomena.

William Salvi: Are business leaders failing younger Amer- Americans with regard to the culture of America and what's being promised to them?

Nigel Morris: I think our- uh, here in Washington, and here in Alexandria, where you can't throw a stone and not hit a politician or a think tanker or a lobbyist, I think that our political apparatus is, uh, substantially accountable, uh, for setting the tone and for taking a half step back and saying, "What makes America really special, and how do we ring-fence that?"

And how do we make sure that in the world of, uh, of totalitarianism in China and in Russia and in other places, how can we be, uh, the special place, uh, where the best and brightest from all around the world can come and build and create, uh, and, and develop social value?"

William Salvi: Yeah, 'cause the, the... You, you had mentioned the comparative analysis of viewing [01:29:00] America like a country, and you, you listed things that I a- I very much agree with.

But I would also say that the political apparatus right now is attacking the things that you said are our competitive advantage.

Nigel Morris: Yeah, and so there's an argument around that, isn't there? Um, I mean, certainly on immigration we see that. I think, uh, in terms of the, uh, uh-

William Salvi: Rule of law. I mean, the- Rule of law, we see that

every single one you named, I thought- Yeah.

Nigel Morris: Uh, and, and the fiscal, fiscal, uh, fiscal robustness of this country. I mean, our, uh, if you look at our, uh, um, uh, the ratio of our bet, our s- our borrowing, uh, to the GDP of this country, I mean,

William Salvi: it is- How does, how do you feel about that? 'Cause you, you started the credit card company, right?

Yeah. And credit card debt is just-

Nigel Morris: No, credit card debt- As- it's- Credit card debt is, uh, if you really look at it on an inflation-adjusted basis, it's not that high.

William Salvi: Okay.

Nigel Morris: It's, uh, it's been higher. And, uh, you know, the... And if you look at the consumer delinquencies of charge-offs, it's, it's doing just fine. Now, that doesn't mean there aren't some storm, storm clouds on the horizon.

But while unemployment is running at 4.3%, and there are jobs for people, [01:30:00] um, and the c- you have a very flourishing, uh, gig economy- Uh, consumer debt levels, uh, um, are, are, are stable, and consumer delinquencies are just fine. Now, and we haven't talked about this, but we do have a revolution going on in our, in business in America today.

And I s- I say

William Salvi: that- What is, what is that revolution?

Nigel Morris: I say that, um, I've been around long enough in financial services to see the transition from branches, uh, to digital. I've seen the cloud emerge as a way of, uh, uh, of, uh, uh, leveraging technology. Um, I've been able to see the unbundling of the banks by the ascension of the fintechs that we ta- we've talked about, um, some of them.

And fintech, by the way, is only 4% of revenue of all of financial services. So while we talk about NewBank, and Credit Karma, and Klarna, it's, add it all up, it's only four and a half percent, and that's growing much faster than the incumbents. And four, four will become six, will become eight, will become 10, 10% by the year 2030, we predict.

But still, [01:31:00] huge runway, um, to go there. But I, I, so I've seen all those, seen that phenomenon and how financial services has changed. But what we're seeing now in terms of artificial intelligence Is, is absolutely transformational, and it's gonna be bigger than all of those things put together. Do you think- And me at 68, to be able to have a ringside seat, and people who are your age now, that are now proficient practitioners of leveraging AI to change the nature of their business models, is nothing other than a revolution.

William Salvi: Will artificial intelligence kill jobs?

Nigel Morris: Yes, it will, and is. We have so many companies that are growing really fast, think 60, 80, 100% a year, who are not adding people anymore.

William Salvi: Wow.

Nigel Morris: Uh, we're seeing, uh, we're seeing call centers-

William Salvi: And these are companies that you've invested in-

Nigel Morris: Absolutely. That you continue to invest in.

Yeah, absolutely. Uh, we're seeing, uh, call centers, uh, becoming digitalized, uh, leveraging AI, with machines talking to you with, uh, no latency, and with any [01:32:00] accent that you choose, and being able to do that consistently. And to be able to do it in a way that, uh, meets all the regulatory needs, and has immutable audit trails, and doing it for a 10th of the cost of a human being.

And people get better... And people, when you ask them if they like the service, they have higher net, high- higher net promoter scores. The question in my mind is not whether or not jobs will be lost. Yes, they will. Is will... How quickly will there be a reinvention of new jobs that will take the place of the old jobs?

That's the, I think, the im- the important question. And back to Washington, Washington is not talking about that. Our politicians, our leaders, our think tank people are not talking about, how do we deal with an inevitable dislocation of jobs, and how do we promote the next generation of waves of jobs? If you'd been in a Waymo, you and I would never have predicted a Waymo 10 years ago.

Okay? The people who program the Waymo said... You know, take even Uber, didn't exist 10 years ago. So there will be businesses [01:33:00] that will be wrapped around the new technology that we can't even conceive of today. The question is, how do we make sure that we promote the environment? Back to

America's comparative advantage, rule of law, best universities, best research, venture capital, capital formation, ability to scale, ability to get liquidity, ability to get public, debt markets that work, rule of...

Uh, is, that's, that's the way that we'll manage our way through technological change. Not by saying, "Oh, we don't... We, we're gonna restrict the number of data centers." That, uh, you know, that, that genie is already out of that bottle.

William Salvi: Speaking of data centers, and I'm asking you just because I, I would love your opinion on this, the IPOs of SpaceX, OpenAI, and Anthropic, do you worry about their valuations compared to their revenue?

It's, uh, it's,

Nigel Morris: uh... Yeah.

William Salvi: Give me, give me your-

Nigel Morris: How do you know? How do you know? The, the valuations are not based on any of the fundamental models that we would use, so it's a bet on the ingenuity and the energy of a, uh, of, uh, of an Elon Musk. I mean, uh, I, I listen to Elon Musk, and [01:34:00] to me, he is not the most articulate person I've ever listened to, to be honest with you.

But you look at his track record. Lightning does not strike- Twice, three times, four times in the same place. So there is something incredibly magical about what Musk can do. And, uh, my instinct is it's around, uh, creating really massively audacious vision and then hiring incredible people, incentivized in the right way, and giving them runway to chase those dreams, and enabling that.

And so much about, uh, uh, leadership is that. It's about managing the, uh, agar jelly that's in the Petri dish, and getting everybody set up and aligned and passionate. And, um, uh, and people who, uh, uh, bring people in, and this is the nature of the entrepreneur, somebody who believes against the odds that they will be successful, and I think that's quintessentially America.

William Salvi: Does, does the capital going into AI companies, into the [01:35:00] markets, and then into the data centers, does it worry you from a financial system perspective in, in the United States?

Nigel Morris: No. I think there'll be, there'll be casualties, of course, and, and a lot of that money will not show itself in returns in the short run.

But in the long run, uh, what, uh... It's gonna be, it's the data centers and the, and the infrastructure investment that's going to power, uh, uh, the, uh, turning upside down of the P&Ls of companies all, all around the world.

William Salvi: How much do you think the Fortune 500 will shift around in the next five years?

Nigel Morris: Shift around in what?

How do you mean?

William Salvi: In the sense of, like, there's gonna be winners and losers- Oh ... going in and out of the Fortune 500. Yeah.

Nigel Morris: That's a, that's a great question, and we're, we're, we're watching our fintechs. We've got over 100 active fintechs, and, and to the man and woman, every one of them are deploying AI at scale now, and if they're not, they're asleep at the wheel.

The incumbents will follow. Uh, you know, when I talk to the counterparts of the bank CEOs, uh, some of them are still saying, "Is it real?" Very few of them now. Uh, some of them are saying, "Well, do we [01:36:00] centralize or decentralize? Do I use third parties or do I try to build it myself?" There's always a foc- you know, uh, IT departments within incumbents always say, "We can build it ourselves."

It's a natural, you know, not invented here type syndrome. But there are so many fantastic tools out there that can be deployed and deployed at scale quickly that'll have huge economic benefit to the, to the corporation, and there's so much learning from that. So my advice to, uh, to the incumbents is get stuck in and go, go to school, go to learn, because this is the Wild West now.

Uh, these tools are growing at an enormous rate. It's almost like every 90 days there's a new version- Right ... with exponentially more power than the, the previous version. So this is coming, it's really big, and at your own risk, don't jump in with both feet.

William Salvi: What are your thoughts on Bitcoin and cryptocurrency?

Nigel Morris: Y- so, okay, um, it's stored [01:37:00] value, Bitcoin and Ethereum. It doesn't do anything. You can't buy a pizza with Bitcoin today, and

it's trading at 58,000 this morning, and it was trading at 124,000 a year ago. So it's a, it's a whimsical, um, fashion-oriented entity, uh, um- Do

William Salvi: you view it like

Nigel Morris: gold? ... uh, s- uh, stored value entity like, uh, gold or silver, although gold and silver has some utility.

So is it a hedge against inflation? No. Does it hedge against the stock market? No. Uh, it's fashion oriented. Now,

William Salvi: that- Do you, do you think long-term it'll be valuable?

Nigel Morris: If more people want it than don't, yes. But, but what are they gonna do with it? Well, yeah. What are they gonna do... Now, you know, does it make sense, um, to keep a small amount of it in your portfolio as a hedge?

Probably. Like you might wanna have some gold or real estate. Sure. It's an alt- it's an al- alternative asset. Now, that, that and, uh, stablecoin and [01:38:00] tokenization are often conflated, right? So the, the, the, uh, the digitalization of m- of money-

William Salvi: Currency ...

Nigel Morris: so that it can be moved and so that it can be stored, uh, is really powerful and is taking cost out of the system by removing friction.

For example, you know, uh, Remitly, uh, is using stablecoin rails rather than Swift or Visa, Mastercard rails to move money from, mm, the US to Mexico. A company we have called Felix Pago does the same thing, and, uh, accesses customers using WhatsApp. So we'll see, we will see over the next 10 years a m- a substantial, uh, embracing of tokenization and the digital for-representation of, of fiat currency, uh, that will take away friction and reduce costs and empower consumers and small businesses, uh, uh, and speed everything up.

That is different, I think, to Bitcoin and Ethereum.

William Salvi: I asked this to the Morningstar CEO 'cause you guys are both, like, finance guys. You know Morningstar?

Nigel Morris: Yeah. [01:39:00] Yeah.

William Salvi: Will the stock market crash in the next 18 months?

Nigel Morris: Sure. Define crash

William Salvi: Uh, 20-plus percent drop

Nigel Morris: Maybe, but not necessarily. And if it happens, it'll be because of exu- irrational exuberance, if you like, uh, in and, in and around, um, the, uh, uh, big tech and, uh, and the, um, uh, the AI related stocks or some kind of conflagration, um, in the wo- uh, uh, on the world stage.

I, you know, I, I worry about, um, a president who becomes a lame duck in October, November, and one thinks that-

William Salvi: You do think that'll happen?

Nigel Morris: Huh?

William Salvi: You do think that'll happen?

Nigel Morris: Uh-

William Salvi: I think that'll happen

Nigel Morris: Yeah. I mean, uh, yeah, at least to some extent, yeah. And at some point- I'm telling you it'll

William Salvi: happen ...

Nigel Morris: you're gonna have, you're gonna have Vance and Rubio on the de- Republican side vying for the ticket.

And, uh, you know, our president is not used to being, um, [01:40:00] you know, on the backstage. So what does that mean? Um, I don't know what could happen from that, but- Yeah ... you know. So when you really take a, take a half step back, um, you know, the, the China-Taiwan situation probably has the, the most, uh, fundamental, um, global risk probably.

Um, I, I think, look, the US dominance on, uh, on the, uh, on the deficit because of, largely because of, uh, the Genius Act, which, uh, I mean, notwithstanding some of the concerns that we've had about, about this, um, administration, deregulation in financial services has been really good. You know, uh, the regulators are now, um, uh, embracing fintechs and gi- and allowing them to have banking licenses.

That's really good. That promotes more competition. That means prices go down. That means transparency goes up. It means it challenges the incumbents who have been able to leverage off the, off, uh, sort of regulatory arbitrage. So I think there's some, uh... And I, uh, that, that I think is, uh, beneficial and America is leading that.

[01:41:00] By either by judgment or by default, we can debate, but it's a good thing.

William Salvi: Where are we at on time?

Uh, we're at 5 to 9.

William Salvi: Yeah. I

would say we, Nigel has just a few minutes left.

William Salvi: Okay, cool. Yeah.

Nigel Morris: Wow.

William Salvi: That was great. Well, Nigel, thank you so much.

Nigel Morris: Thank

William Salvi: you. I appreciate it. I

Nigel Morris: enjoyed it. Thank you.

William Salvi: Um, thanks for all your thoughts.

Thanks for sharing your story.

Nigel Morris: Yeah.

William Salvi: Hope you didn't get bored of me during this night.

Nigel Morris: No, I, I mean, if that, if that was an hour and a half, that went by in, like, seemed like 11 minutes. Yeah.

William Salvi: That was great. That was

Nigel Morris: very good. Yeah. Yeah. I d- I think you pick up on really good things. Sweet. So thank you for that.

William Salvi: Yeah, I appreciate it. And, uh, you know, you, you were the first in this new format where I'm staring at you. I've, I've always been staring at the... But I'm like, we're facing each other and, uh, we're not doing, like, a walk and talk like we said we were gonna do, like, a year and a half ago.

Nigel Morris: Yeah.

William Salvi: And so I appreciate you, uh, diving in with me.

Nigel Morris: It's good fun, mate.

William Salvi: This was fun.

Nigel Morris: Yeah. Thank you. Yeah. Thanks for making the trip down. Thank you, guys.

William Salvi: Of course. Yeah.

Nigel Morris: Really appreciate it. Uh, are we gonna give you some lunch, or are you heading out? What are you... What can we-

William Salvi: [01:42:00] No, we're all good.

Nigel Morris: Every- It's 1:00. Yeah. You must be hungry. How are you gonna keep those, that muscle, muscle mass-

if you're not eating protein? It's

William Salvi: intermittent fasting, you know? Yeah. Do

Nigel Morris: you do it? I do. How, how often do you fast?

William Salvi: Uh, I'll do water fasting every now and then, like, for a full 36 hours.

Nigel Morris: Will you?

William Salvi: Yeah. Wow. Uh, once a month.

Nigel Morris: God, that's good. It's apparently really good for you, right?

William Salvi: Yeah. And then I, I ski- I, I love breakfast, but I do skip breakfast a fair amount.

Yeah. Yeah. Yeah. I like breakfast food though, so it's kinda, like, tough. Wow. Depends on the workouts. If I'm working out real hard, you need, you need food. Yeah. You know, you need, you need the fuel, so. Thank

Nigel Morris: you, mate.

William Salvi: Yeah. Yeah, you're the best. Thank you. Thanks. Oh, wow.